



MOODY'S

2Q 2019 Investor Presentation

August 6, 2019

Disclaimer

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for the Company's business and operations that involve a number of risks and uncertainties. Such statements may include, among other words, "believe", "expect", "anticipate", "intend", "plan", "will", "predict", "potential", "continue", "strategy", "aspire", "target", "forecast", "project", "estimate", "should", "could", "may" and similar expressions or words and variations thereof that convey the prospective nature of events or outcomes generally indicative of forward-looking statements. The forward-looking statements and other information in this release are made as of the date hereof (except where noted otherwise), and the Company undertakes no obligation (nor does it intend) to publicly supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise, except as required by applicable law or regulation. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying examples of factors, risks and uncertainties that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, credit market disruptions or economic slowdowns, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to uncertainty as companies transition away from LIBOR and the U.K.'s pending withdrawal from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy, including those related to tariffs and trade barriers; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act ("Dodd-Frank") and regulations resulting from Dodd-Frank; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate such acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2018, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

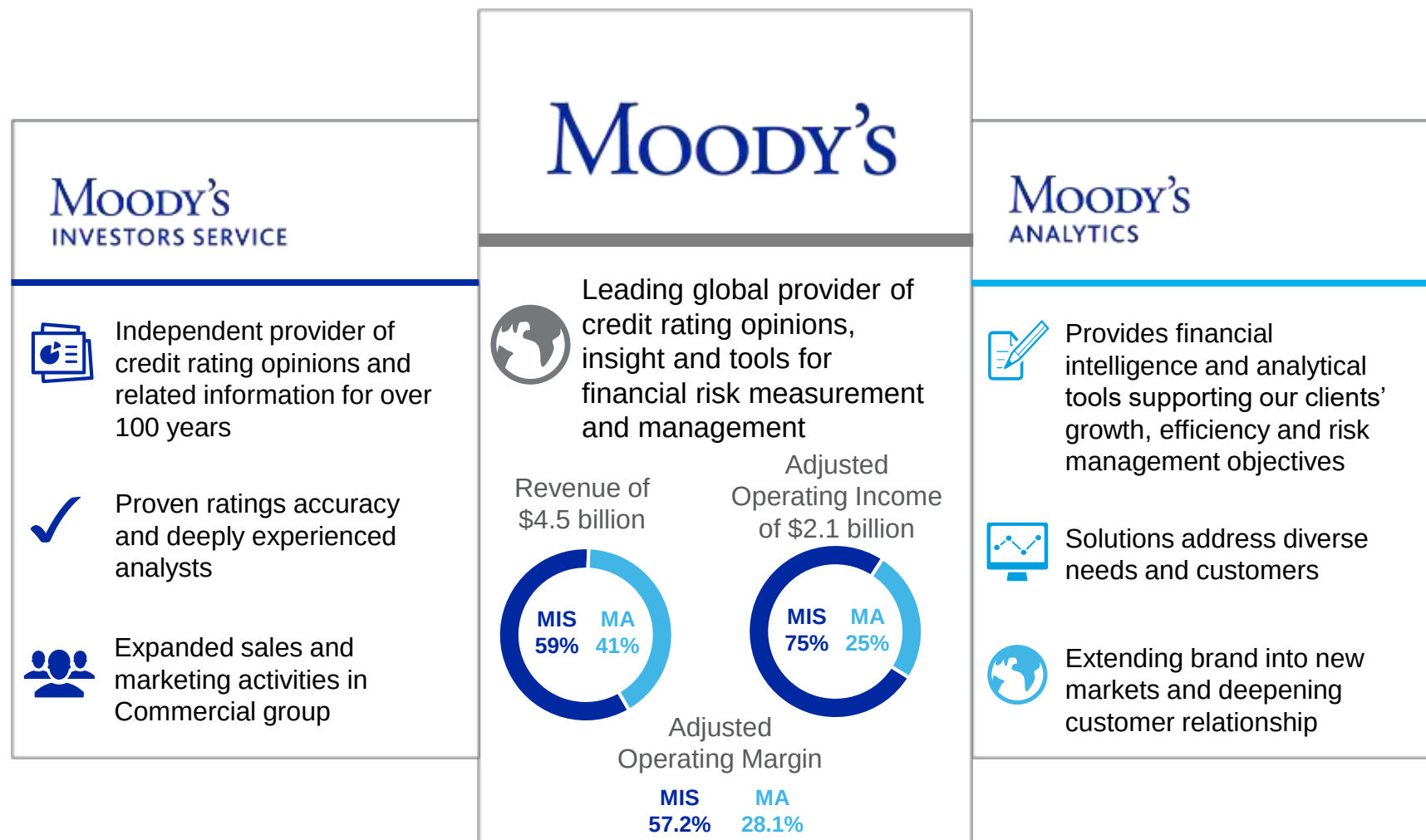
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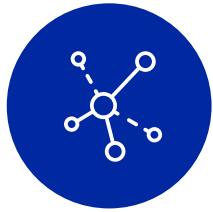
Moody's Overview

Company Overview



Note: Financial data for the trailing twelve months ended June 30, 2019.

Moody's Strategic Core



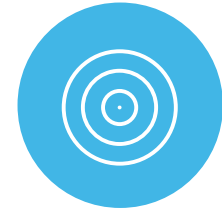
Mission

Trusted insights and standards



Vision

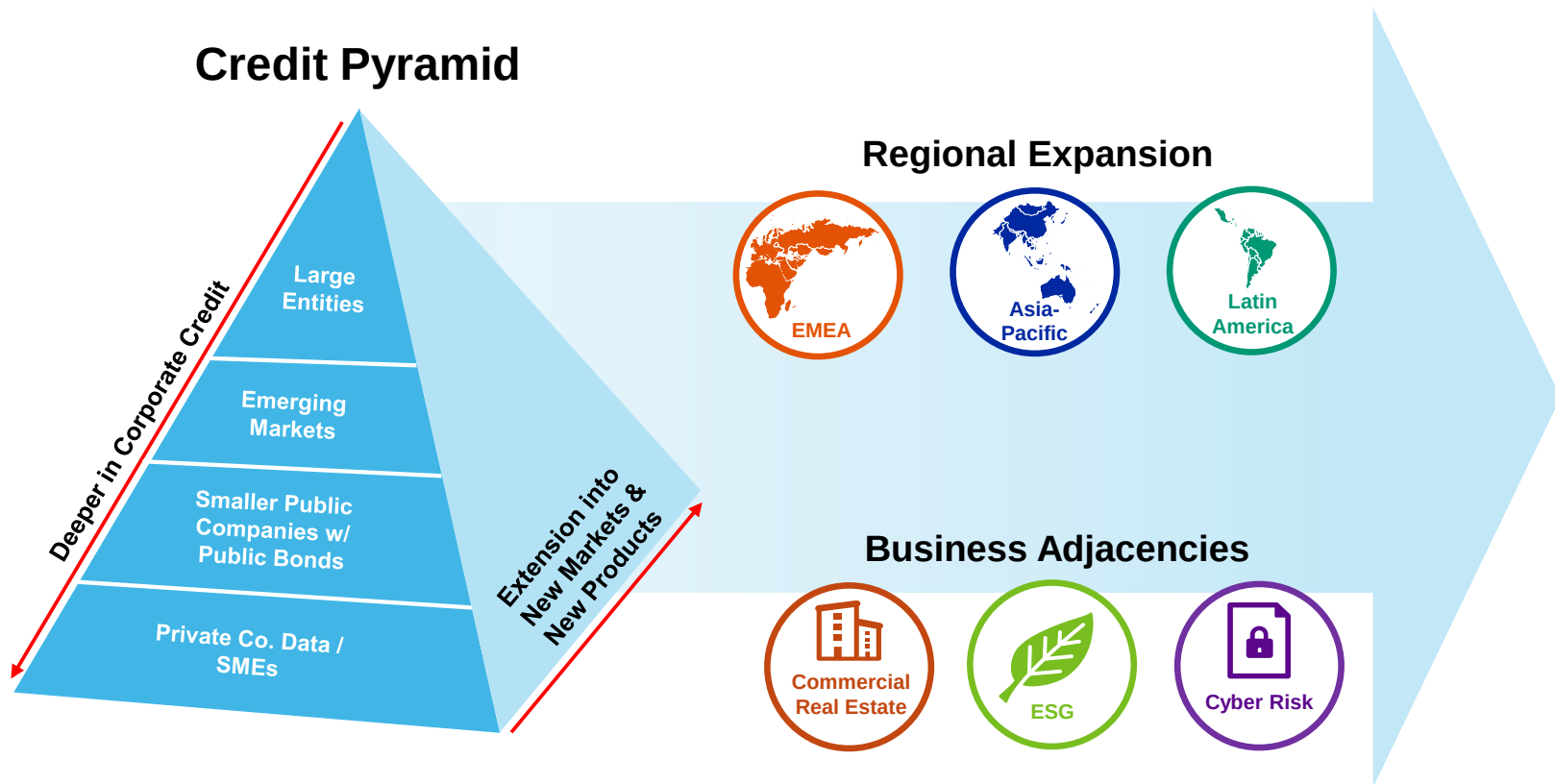
Informed decisions that promote progress



Purpose

Clarity, knowledge and fairness

Moody's Strategic Priorities



-  **Enhance technology infrastructure** to enable automation, innovation and efficiency
-  **Foster employee engagement and creative solutions through our diverse workforce and inclusive environment**

Recent Transactions Provide Enhancements to Analytical and Risk Measurement Capabilities

	Risk Assessments	» Provider of data, intelligence, and analysis related to physical climate risks
	Analytical Solutions	» Fintech company providing risk analytics solutions for asset owners, pension consultants, asset managers and insurers
	Risk Assessments	» Cybersecurity think tank joint venture to establish global standard for evaluating and assessing cyber risk for enterprises
	Services	» Divestiture of human capital-intensive business aligns with MA's increasing strategic focus on providing subscription-based financial intelligence and analytical tools

» **Limited impact on FY19 guidance: ~\$0.05 reduction to adjusted diluted EPS¹**

1. See press release titled "Moody's Corporation Reports Results for Second Quarter 2019" from July 31, 2019 for Moody's full 2019 guidance.

Why Invest in Moody's?



We strive to be the world's most respected authority serving risk-sensitive financial markets



We have had strong revenue and earnings growth, as well as cash flow conversion



We are committed to returning capital to our stockholders



We will selectively invest in strategic growth opportunities

ESG Drives Sustained Corporate Value

Introduced ESG Disclosures in our Public Filings



ENVIRONMENTAL

- » Measurement of carbon emissions and identification of opportunities to reduce indirect GHG emissions
- » Expansion of ESG products and services
- » CDP¹ participation



GOVERNANCE

- » Professional integrity
- » Systematic risk management
- » Diverse Board membership and skill sets
- » Separate CEO and Chairman positions
- » Active shareholder engagement



SOCIAL

- » Support a diverse and inclusive workplace
- » Active global community and philanthropic involvement
- » Robust data security and privacy practices
- » Fair compensation practices and benefits packages
- » Recognized as top 10 employer by *Working Mother's* list of 100 Best Companies



Executive compensation metrics include²:

- » Moody's Corporation EPS, operating income and EBITDA
 - » MIS operating income and ratings accuracy
 - » MA operating income and sales
 - » Strategic & operational³

1. Carbon Disclosure Project.

2. While the Company reports its financial results in accordance with GAAP, financial performance targets and results under the Company's incentive plans are based on adjusted financial measures. These metrics and the related performance targets are relevant only to Moody's executive compensation program and should not be used or applied in other contexts.

3. This measure is a qualitative assessment of strategic and operational metrics tied to key non-financial business objectives certified by the Compensation & Human Resources Committee at the beginning of the performance period. The Committee assessed the achievement of the metric by evaluating performance against the following objectives: (i) new sources of growth; (ii) quality assurance and controls; (iii) operating effectiveness and efficiency; (iv) people and culture; (v) risk management; and (vi) enabling technologies and capabilities.

Expanding CSR / ESG Engagement

Demonstrating our Commitment to a Sustainable Future

WE SUPPORT



- » Joined the **United Nations Global Compact (UNGC)** initiative
- » UNGC is the **world's largest corporate sustainability initiative** and a call to companies to align strategies and operations with ten universal principles and take actions that advance the Sustainable Development Goals (SDGs)



- » Joined the **PRI as a Service Provider signatory**
- » The PRI is the **world's leading proponent of responsible investment**



[TCFD report link](#)

TCFD | TASK FORCE ON CLIMATE-RELATED FINANCIAL DISCLOSURES

- » Moody's work on **climate-related risks and opportunities** is focused on **areas where it believes it can make the greatest impact**
- » Includes **promoting global ESG measurement standards** for use by market participants and an **ongoing commitment to enhancing transparency in ESG**

Other Strategic Partners Include:



Note: CSR: Corporate Social Responsibility; ESG: Environmental, Social and Governance.

2

Financial Overview

Long-Term Growth Opportunities

Three Levers to Achieve EPS Growth



EPS

Low Teens % Growth Range^{1, 2}

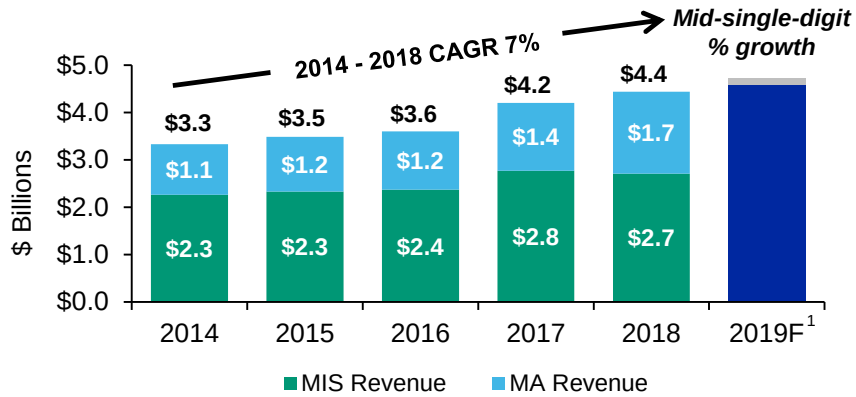
Note: Long-term growth opportunities presented on this slide are on average over time.

1. Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

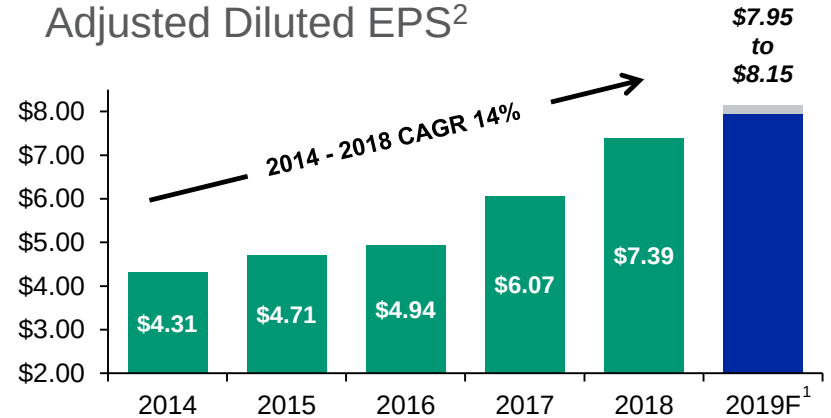
2. Subject to market conditions and other ongoing capital allocation decisions.

Financial Performance

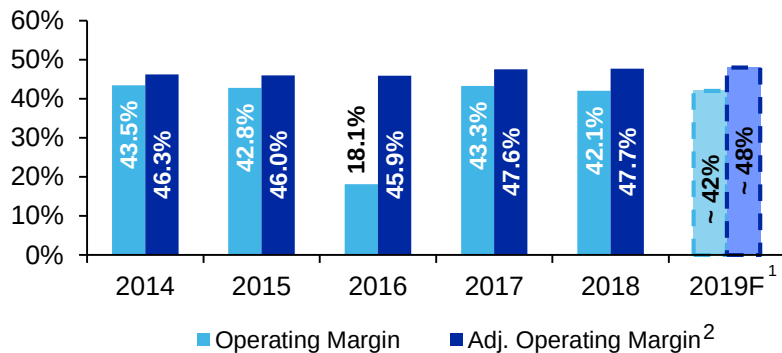
Revenue



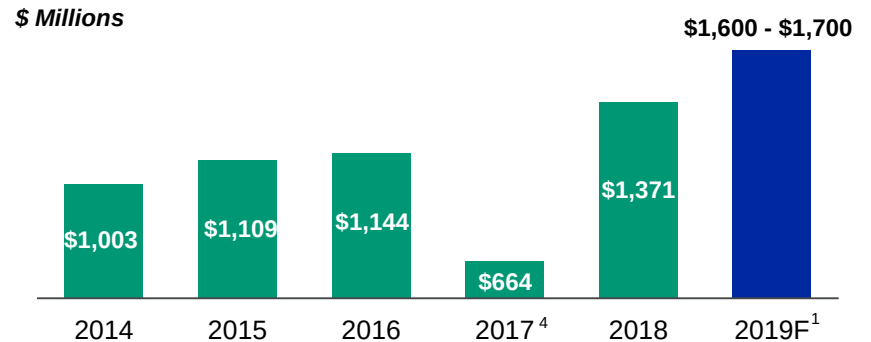
Adjusted Diluted EPS²



Operating Margin³



Free Cash Flow²



1. Guidance as of July 31, 2019.

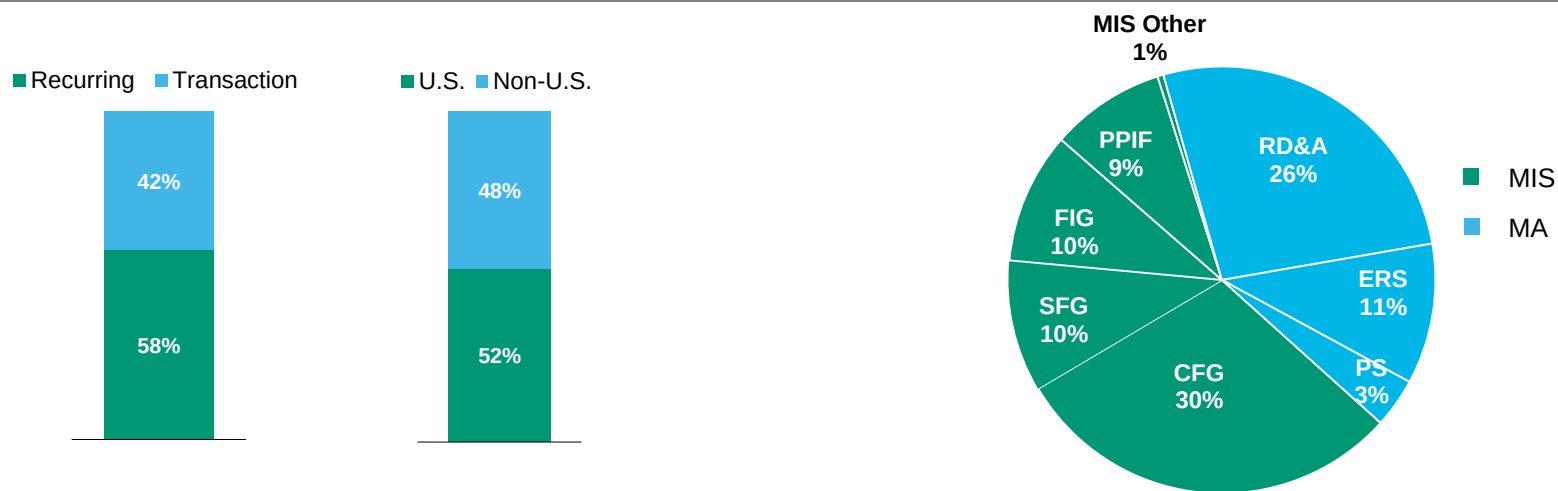
2. These figures are adjusted measures. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

3. 2014 - 2017 operating and adjusted operating margins have been restated to conform to the new presentation for pension expenses.

4. Reflects reduction by \$701 million net of tax settlement charge.

Moody's Corporation Financial Profile

2Q 2019 TTM Revenue: \$4.5 billion



Full Year 2019 Guidance as of July 31, 2019¹

Revenue	• increase in the mid-single-digit % range
Operating Expenses ²	• increase in the high-single-digit % range
Operating Margin	• approximately 42%
Adjusted Operating Margin ³	• approximately 48%
Effective Tax Rate	• 21% - 22%
Diluted EPS	• \$7.15 - \$7.35
Adjusted Diluted EPS ³	• \$7.95 - \$8.15

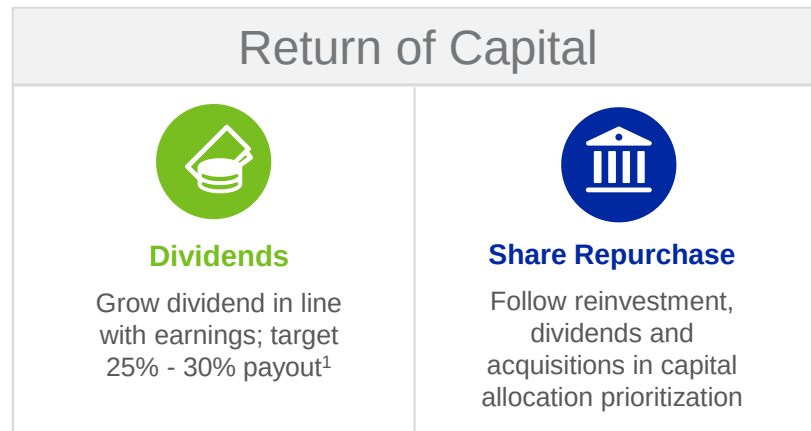
1. See press release titled "Moody's Corporation Reports Results for Second Quarter 2019" from July 31, 2019 for Moody's full 2019 guidance.

2. Includes depreciation and amortization, restructuring charges, impairment pursuant to the planned divestiture of MAKs and Acquisition-Related Expenses.

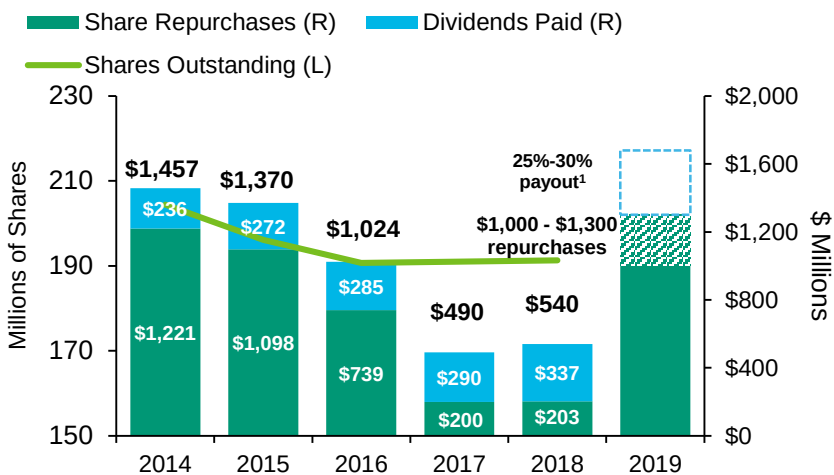
3. These metrics are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP.

Note: The revenue reclassifications of REITs to Corporate Finance from Structured Finance and the FACT product from RD&A to ERS are reflected in the trailing twelve month (TTM) calculations.

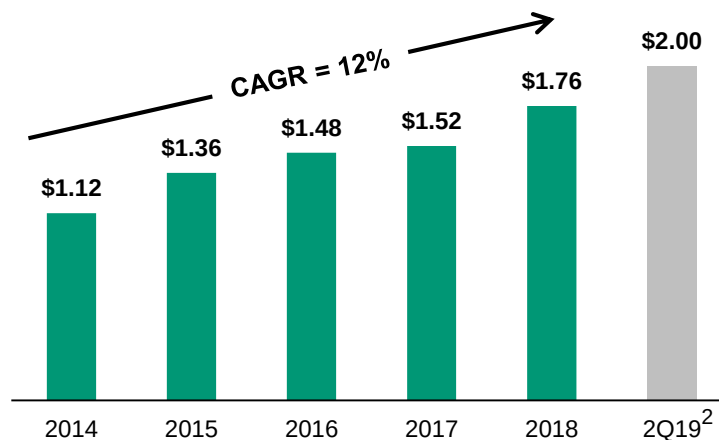
Disciplined Approach to Capital Allocation



Share Repurchases and Dividends Paid



Annualized Dividend Per Share



1. Dividend payout ratio is defined as total dividends paid/adjusted net income.

2. Annualized dividend total, based on first, second and third quarter dividends of \$0.50 declared on February 15, 2019, April 16, 2019 and July 9, 2019.

2019 Guidance Drivers¹

MIS

- » **Stable** economic fundamentals and **GDP growth** in developed regions
- » Market disruption to start the year, followed by **spread tightening** and **issuance markets normalization**
- » Tighter credit seen **moderating new mandates** compared to 2018
- » **Recurring revenue** and pricing initiatives support growth
- » Issuance expected to be **flat to down 5%** compared to 2018²

MA

- » **Product enhancements** driving customer upgrades and new sales in RD&A, supporting growth across multiple business lines
- » **Bureau van Dijk synergies** on track to achieve ~\$45 million run rate
- » **ERS** resumes growth as **transition** from licenses and services to **SaaS** passes inflection point
- » **Reis and Omega Performance** integrated
- » **RiskFirst acquisition** and **MAKS divestiture**

Moody's

- » Restructuring: **Annualized pre-tax savings anticipated to be ~\$60 million** providing optionality to reinvest or bolster margin depending on market conditions
- » Strategic management of real estate footprint and hiring activity
- » **Limited \$0 to \$10 million expense ramp³** expected from Q1 to Q4 2019
- » Remainder of year FX assumptions: British pound (£): \$1.27 to £1 and Euro (€): \$1.14 to €1

1. Guidance as of July 31, 2019.

2. Excluding sovereign debt issuance.

3. Expense ramp relates to total operating expenses. Total operating expenses include depreciation and amortization, restructuring charges, MAKS Impairment Charge and Acquisition-Related Expenses.

3

Capital Markets Overview

Q2 Issuance Activity: Receptive Market Conditions Tempered by Cautious Sentiment

Strong Issuance Conditions

- » **Falling 10Y benchmark rates:** U.S. to multiyear lows, Germany reverts back to sub-zero
- » **Fed and ECB pivots resume:** expected to lower rates in 2H19
- » U.S., Europe and Asia **credit spreads continue to narrow** from December highs
- » **U.S. equity market** indices approach **record highs** as volatility abates
- » **Low unemployment** rates and **subdued inflation** in developed economies

Mixed Issuance Activity

- » **Issuance¹ declines for fourth consecutive quarter:** -14% reflected in each line of business, U.S. and Europe
- » **Resurgent corporate fixed rate issuance and jumbo M&A financings** offset by **bank loan** (floating rate) **declines**
- » Bankers indicate **moderate** U.S. IG and leveraged finance **issuance pipelines**
- » **CLO activity remains weak** on wider year-over-year U.S. and European spreads

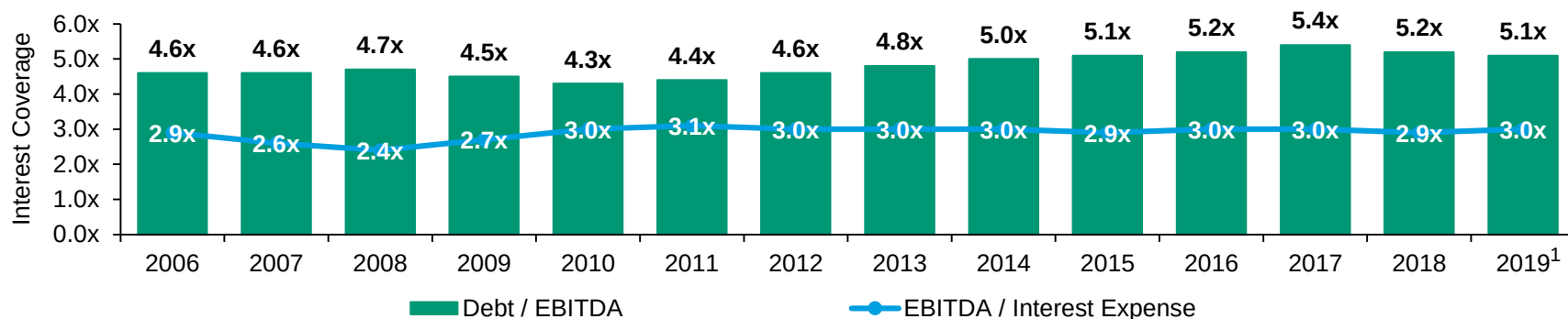
Ongoing Macro and Geopolitical Headwinds

- » **Declining global growth expectations:** IMF cuts 2019 outlook in April; 3rd cut in six months
- » **Geopolitical uncertainty continues:** U.S./China and Mexico trade, Brexit, Mideast tensions
- » **Business confidence weak**
- » **Q2 global M&A volume down** despite megadeals
- » **Global capex has slowed** materially year-over-year

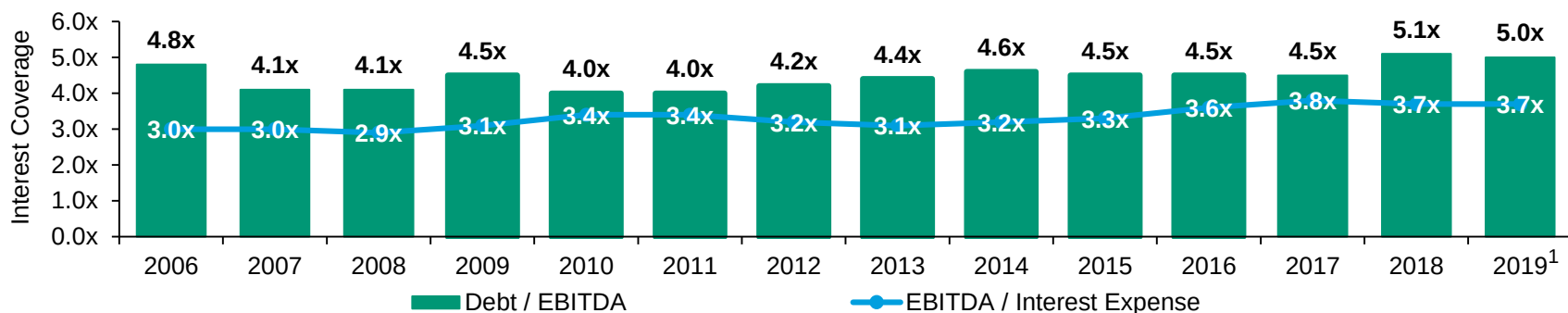
¹ Excludes sovereign debt issuance.

Debt Leverage and Interest Coverage Remain Stable in North America and Europe

Credit Metrics: North American Speculative Grade Companies



Credit Metrics: European Speculative Grade Companies

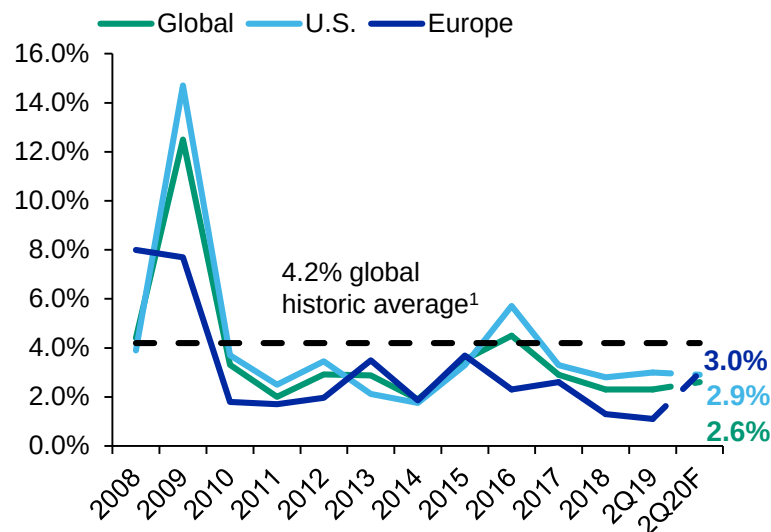


1. Trailing twelve months as of June 30, 2019.

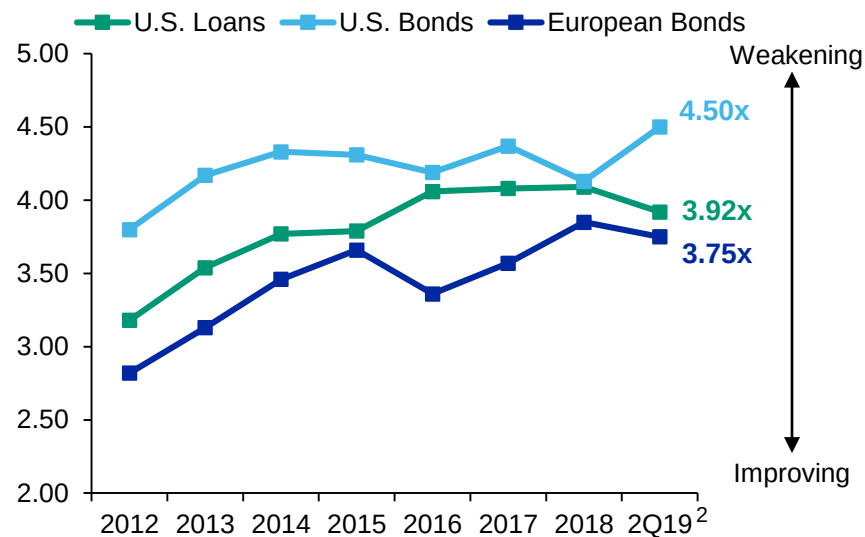
Note: Historical figures may change due to timing differences in issuer reporting deadlines. Source: Moody's Investors Service.

Global Default Rates Remain Under Historic Average; Continue to Monitor Covenant Quality

Default Rates for Speculative-Grade Corporate Rated Issuance¹



Speculative-Grade Covenant Quality Indicators



- » Global speculative-grade default rate at 2.3% as of June 30, 2019; expected to increase to 2.6% by June 2020
- » Recent strengthening in U.S. loan covenants reflects weakening investor demand, while U.S. bond covenants weaken simultaneously with pickup in issuance activity

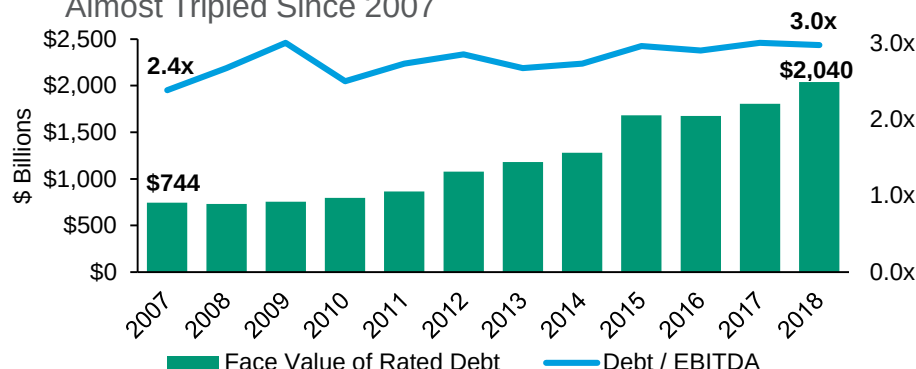
1. Moody's rated corporate global speculative grade default historical average of 4.2% since 1983. 2020 forecast for trailing twelve months ended June 30, 2020.

2. As of the trailing twelve months ended June 30, 2019.

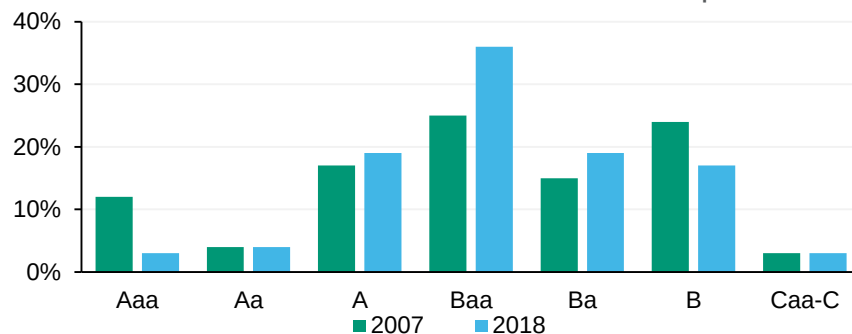
Source: Moody's Investors Service.

Baa-Credit Concentration Has Grown, with Mitigating Factors

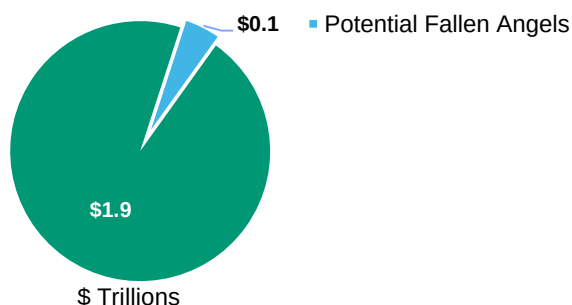
Rated Debt of Baa U.S. Nonfinancial Companies Has Almost Tripled Since 2007



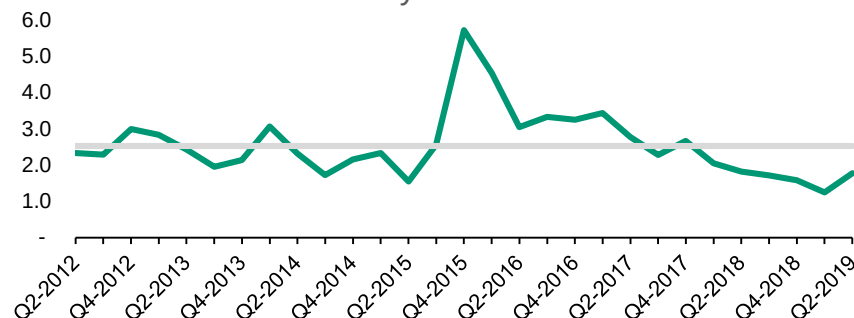
2018 Baa-rated Debt Accounted for More than One-third of The Total Rated Debt of U.S. Nonfinancial Companies



2018 Potential Fallen Angels¹ Accounted for \$0.1 Trillion of the \$2 Trillion of U.S. Baa-Rated Nonfinancial Debt Outstanding



Ratio of Potential Fallen Angels¹ to Potential Rising Stars¹ Trends Downward Globally



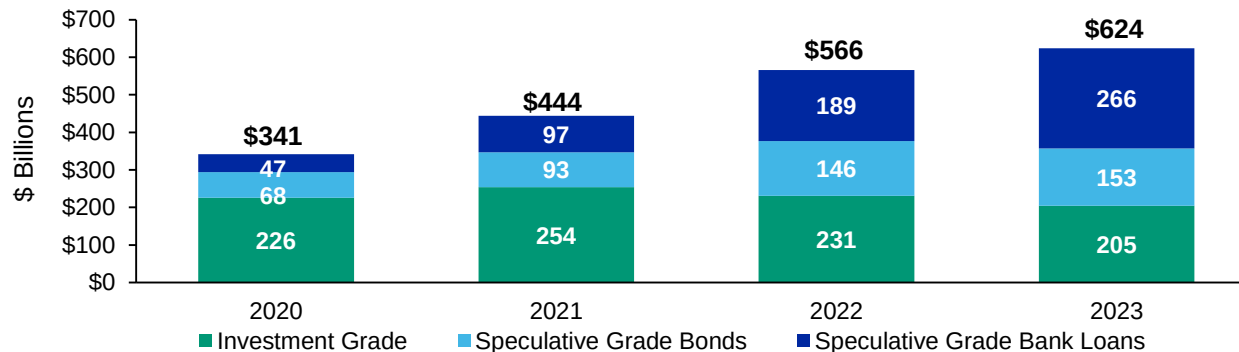
» As compared to 2007, 2018 representative median companies generated more revenue (\$4.7B to \$7.1B), with improved EBITDA margins (20% to 24%) and EBITDA / Interest Expense ratios (7.0x to 8.2x)

1. Fallen Angels and Rising Stars fall within the "The Crossover Zone" which refers to the ratings closest to the line between speculative grade and investment grade. Companies in the zone are rated Baa3 or Ba1. To be considered in the zone, companies rated Baa3 must be on review for downgrade or have a negative outlook, while companies rated Ba1 must be on review for upgrade or have a positive outlook.

Source: Moody's Investors Service.

North America and EMEA Non-Financial Corporates Have Significant Refunding Needs¹

Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans

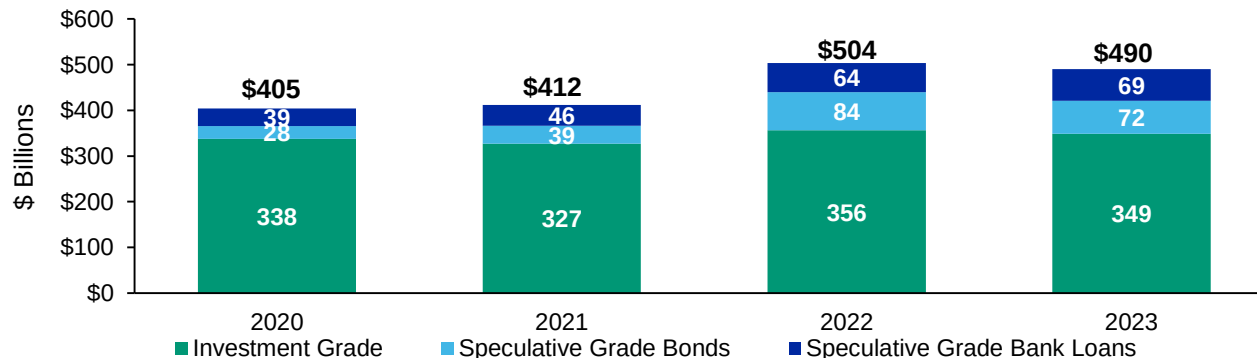


- » Four-year debt maturities for North America non-financial investment-grade corporates approaching \$1 trillion
- » Four-year U.S. speculative grade bank loans refinancing needs up \$44 billion, or 8%, from a year ago

Source: Moody's Investors Service, January 2019.

Note: Data represents U.S. & Canadian MIS rated corporate bonds & loans.

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans



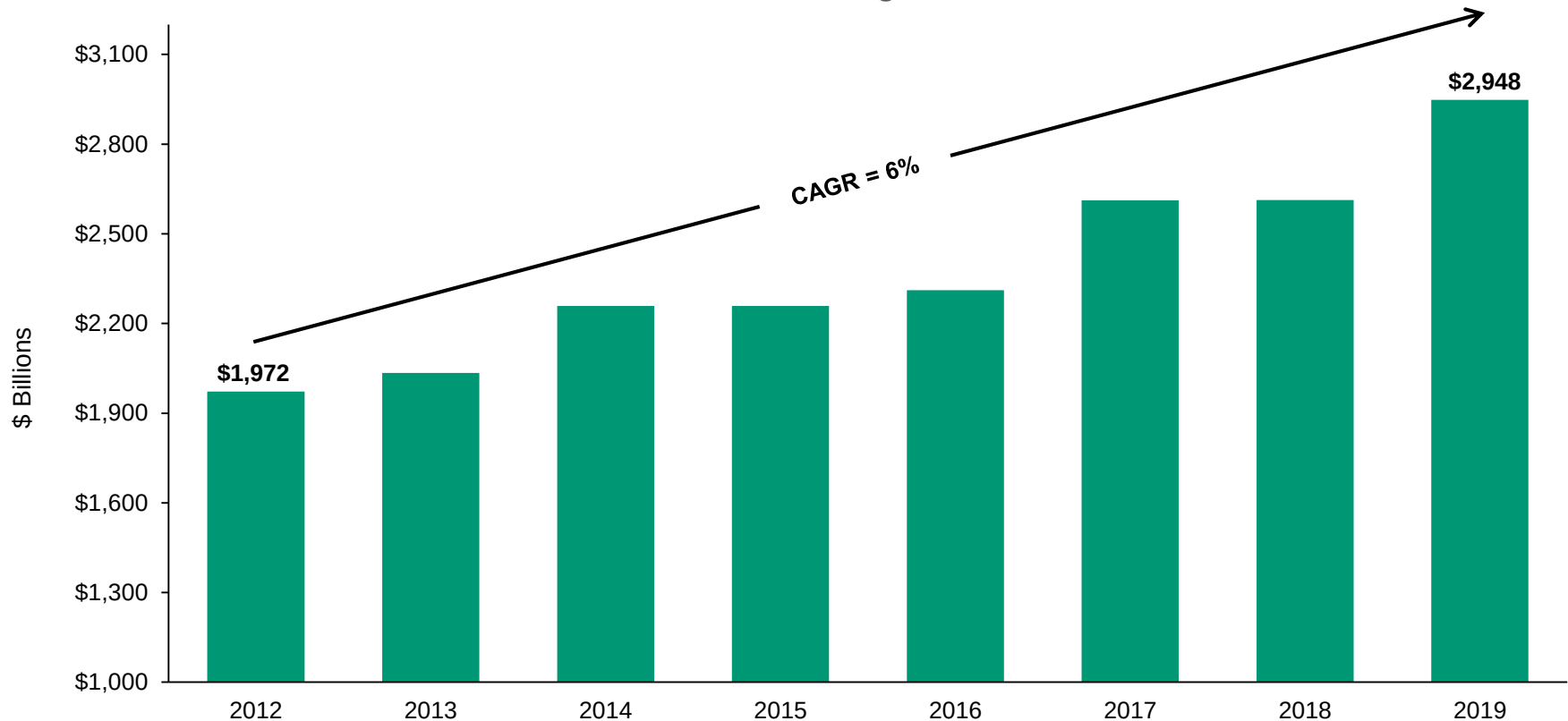
- » Four-year debt maturities for EMEA non-financial corporates exceed \$1.8 trillion, up more than \$370 billion, or 26%, from the prior year

Source: Moody's Investors Service, July 2019.

1. Amount reflects total maturities identified in the above sources.

Refunding Needs Have Grown Strongly Over Time

Next Four Years U.S. and EMEA Total Refunding Needs¹ as of:



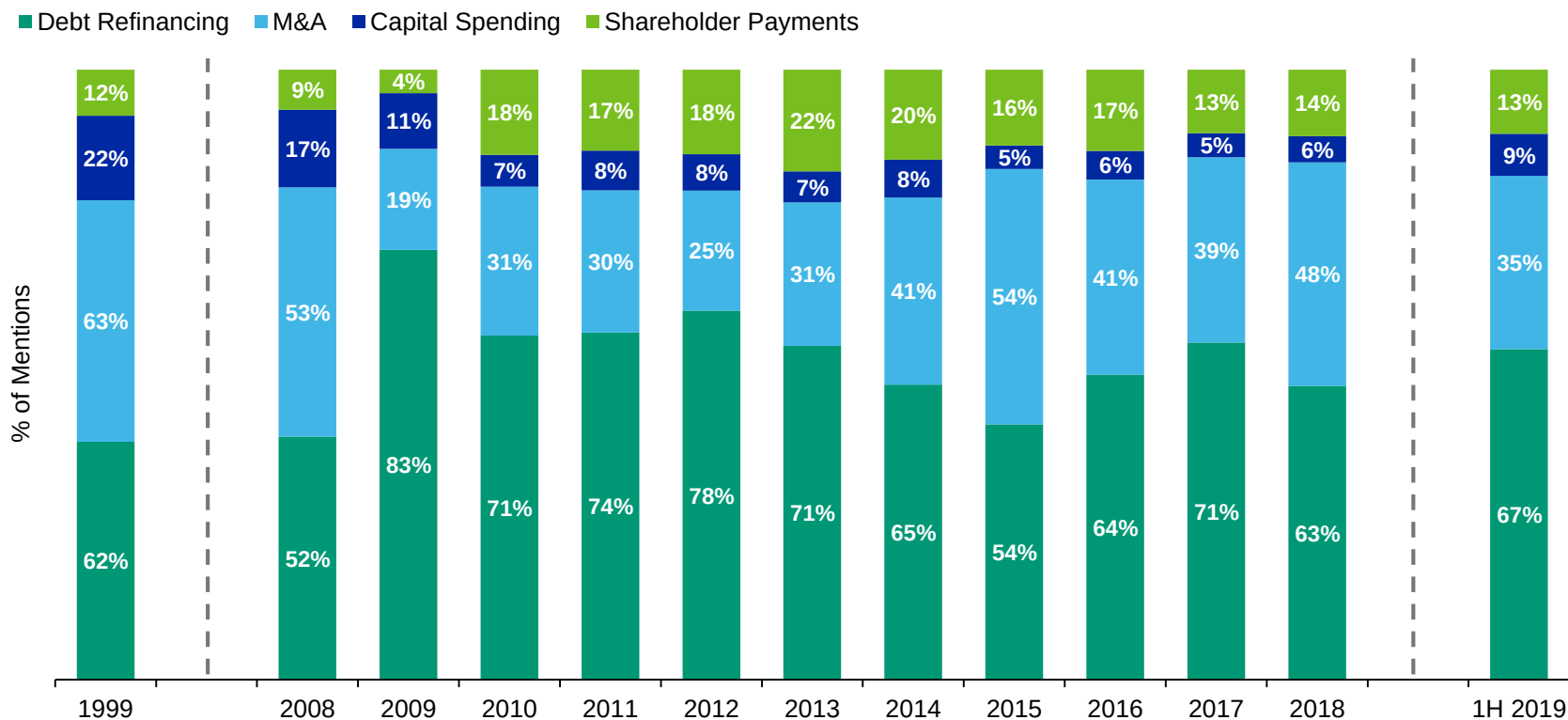
1. Amount reflects total maturities identified below.

Source: Moody's Investors Service. U.S. and EMEA refunding needs reports January 2012 – January 2019.

Note: Data represents U.S. and European MIS rated corporate bonds & loans.

Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

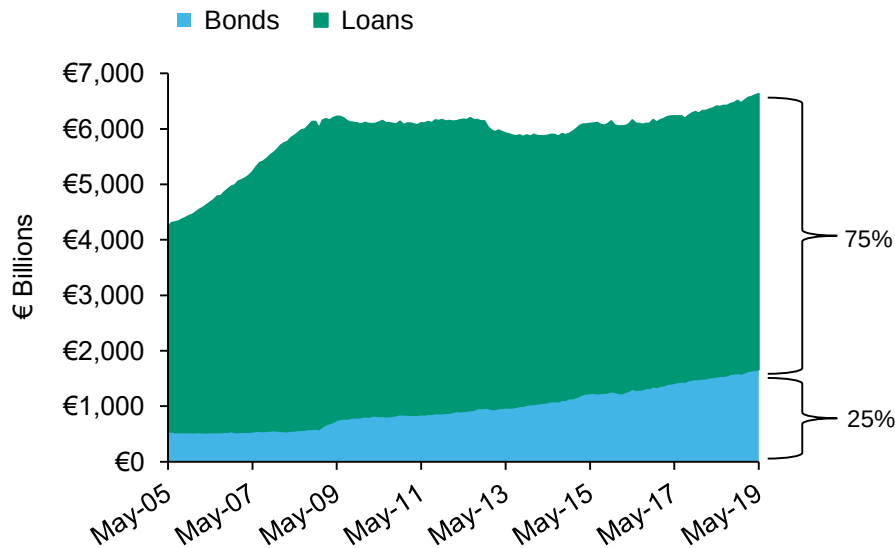
Uses of Funds from USD High Yield Bonds and Bank Loans¹



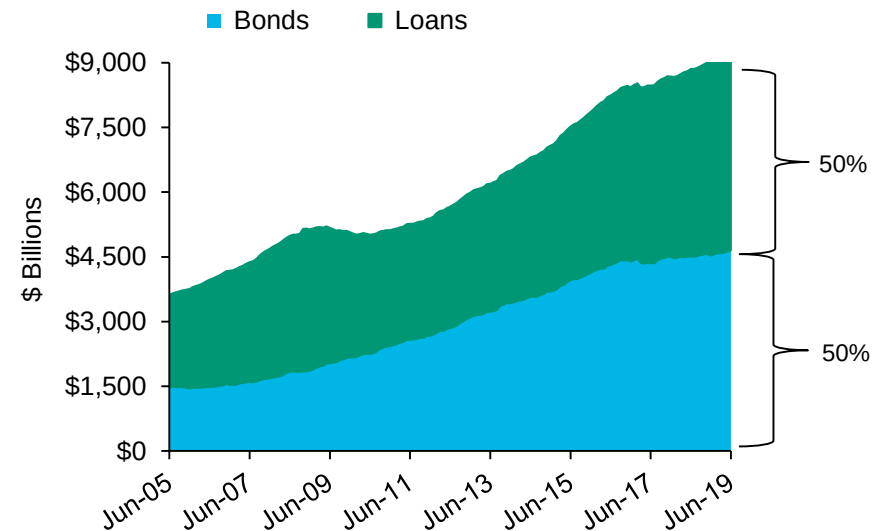
1. Percent of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes. An issue can have multiple purposes and, as a result, percentages do not sum to 100%.
Source: Moody's Analytics.

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding

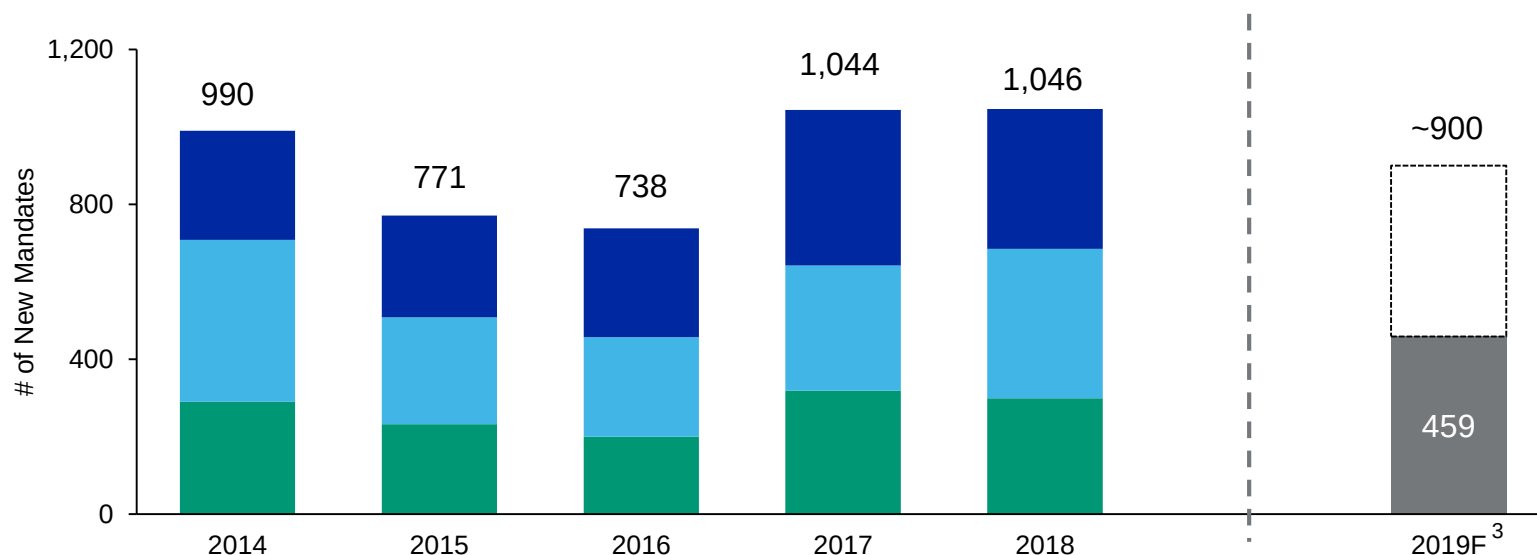


Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European data is through May 2019 and U.S. data is through June 2019.

New Rating Mandates Provide Recurring Revenue¹ Growth

Global New Rating Mandates²

■ EMEA ■ United States ■ Rest of World



- » In 2Q19, Moody's new rating mandates increased to 252, up 22% from 1Q19
- » Expect ~900 new mandates in 2019³
- » MIS recurring revenue growth driven by increased volume of monitoring fees from recent new mandates, as well as pricing initiatives

1. MIS recurring revenue is typically billed annually and recognized ratably over 12 months. Recurring revenue can also be billed upfront and recognized over the life of the security.
2. Rated by Moody's Investors Service.
3. New mandates estimate as of July 31, 2019.

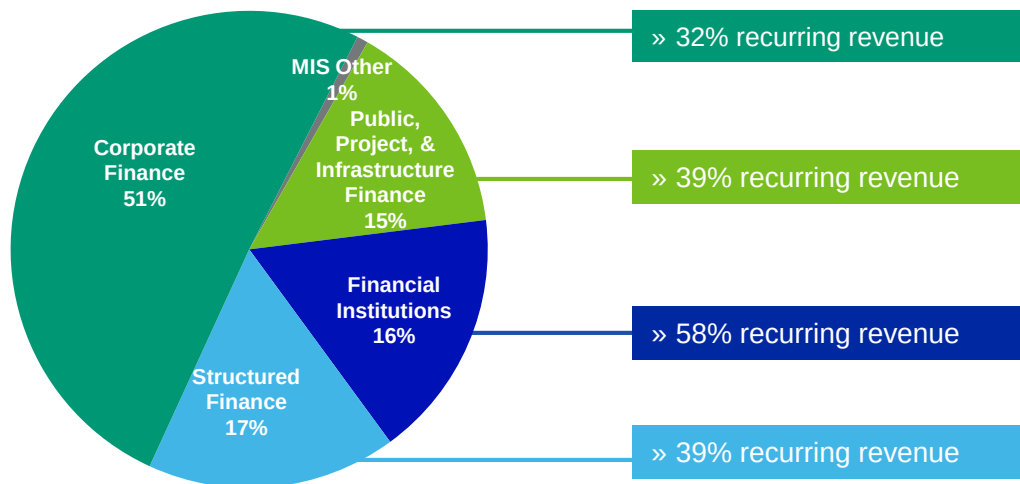
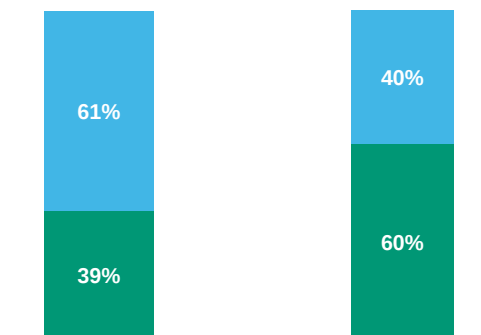
4

Moody's Investors Service

Moody's Investors Service Financial Profile

2Q 2019 TTM Revenue: \$2.6 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



Full Year 2019 Guidance as of July 31, 2019

Global	increase in the low-single-digit % range
U.S.	increase in the mid-single-digit % range
Non-U.S.	approximately flat
Adjusted Operating Margin	approximately 58%

Note: The revenue reclassification of REITs to Corporate Finance from Structured Finance is reflected in the trailing twelve month (TTM) calculations.

The Benefits of a Moody's Rating



Illustrative Value of a Moody's Rating

Example: 10 year \$500 million corporate bond

<u>Unrated</u>		<u>Rated by Moody's</u>
\$500,000,000	Bond	\$500,000,000
x 4.3%	Interest rate	x 4.0%
= \$21,500,000	Annual interest payments	= \$20,000,000
x 10 years	Tenor	x 10 years
= \$215,000,000	Lifetime interest expense	= \$200,000,000

**\$15 million in total interest expense
vs.
lifetime cost of a rating**

Note: Illustrative spread differential based on feedback from syndicate desks and FBR & Co. research on Moody's Corporation (January 2014) which stated that obtaining a Moody's rating typically saves approximately 30 basis points per year for investment grade issuers. Many factors go into the pricing of a bond.

Broad Coverage Serves Global Needs



Americas

- » 30,400+ rated companies and structured deals
- » \$34+ trillion total debt rated
- » 18,600 research publications
- » Offices in 10 cities*



EMEA

- » 4,700+ rated companies and structured deals
- » \$21+ trillion total debt rated
- » 6,700 research publications
- » Offices in 13 cities*



APAC

- » 2,100+ rated companies and structured deals
- » \$14+ trillion total debt rated
- » 3,500 research publications
- » Offices in 10 cities*

~15 Years
Lead/Senior Analyst
tenure

**Institutional
Investor**

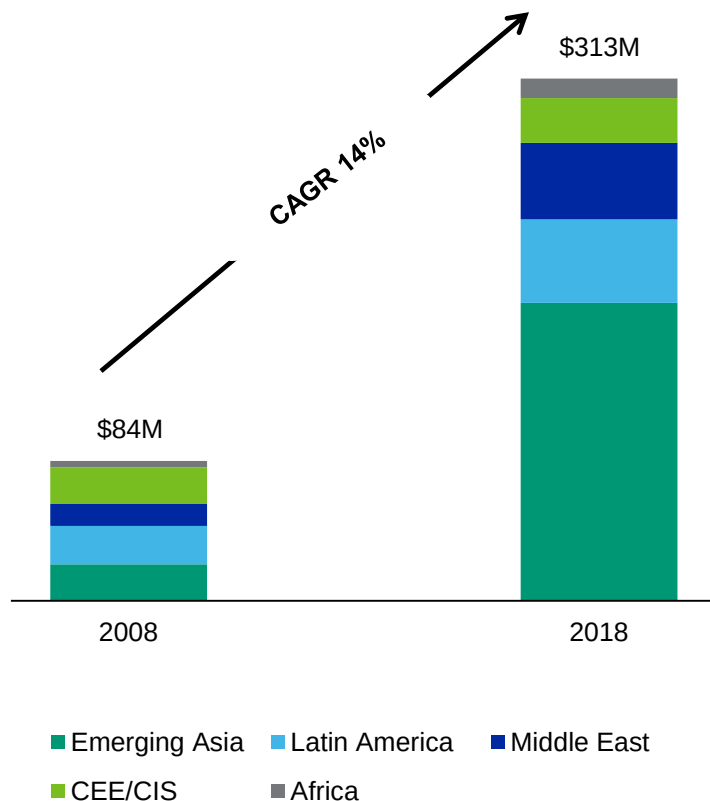
#1 U.S. Credit
Rating Agency
2012-2018¹

1. Institutional Investor Survey.
Source: Moody's Investors Service.

All data as of January, 28 2019, except Research Data covers the period January 1, 2018 – December 31, 2018.
All numbers are rounded other than those marked *

Continue to Invest in Key International Markets

Revenue in Emerging Markets



Asia Pacific



» China:

- Successful joint venture with CCXI, leading rating agency in China's ~\$260M domestic single-rating bond market
- ~\$260M cross-border multi-rating bond market rated from MIS Hong Kong office



- ### » South Korea:
- Full ownership of KIS subsidiary, a leading provider of domestic credit ratings in South Korea



- ### » India:
- Majority stake in ICRA serves growing domestic Indian bond market

Latin America



- ### » Acquisition of Equilibrium and minority investment in ICR Chile deepen Moody's presence in dynamic and expanding markets



EMEA



EMEA

- ### » Recently opened Moody's offices in Stockholm, Saudi Arabia and Lithuania

MIS ESG Opportunity: Driving Expansion Beyond Credit



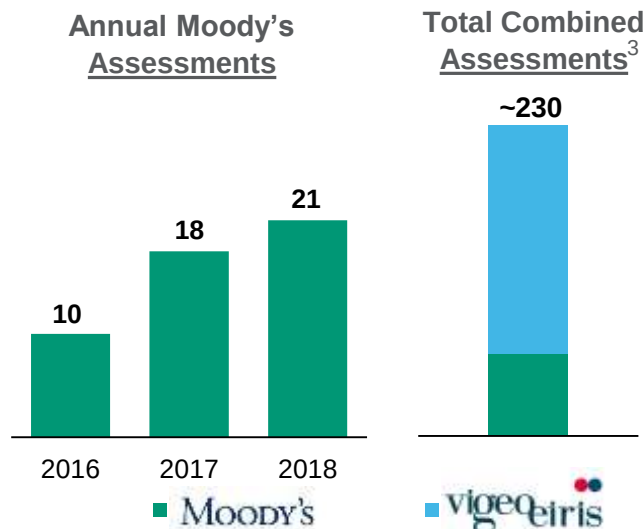
Analysis

- » Moody's forecasts global green bond issuance of **\$200 billion in 2019**, a projected increase of 20% over 2018¹
- » Moody's Green Bond Assessment ("GBA") portfolio is expected to **save an estimated 2.6 million metric tons of annual carbon emissions**²
- » Majority acquisition of **Four Twenty Seven** complements majority stake in **Vigeo Eiris** underscoring work to **advance global standards for assessing environmental and climate risk factors**



Research

- » In 2018, Moody's published **200+ research reports focused on ESG risks and opportunities**, up ~170% from 2017



Outreach

- » **Organized or participated at 100+ global ESG events** in 2018, attracting **5,500+ market participants**
- » **Strategic relationships with industry organizations and influencers across sustainable finance**



1. Forecast as of January 31, 2019.

2. Based on preliminary 2018 data. Sources: Climate Bonds Initiative, Moody's Investors Service.

3. Year-to-date as of June 30, 2019. Includes approximately 55 Moody's GBAs and 175 Vigeo Eiris Second Party Opinions.

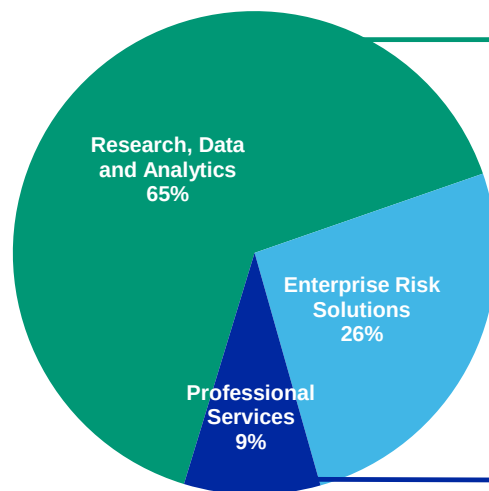
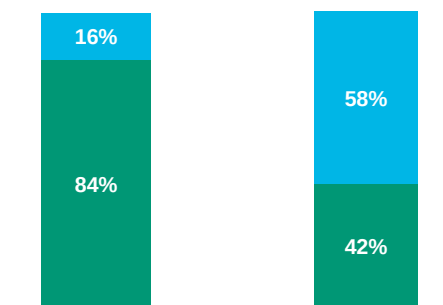
5

Moody's Analytics

Moody's Analytics Financial Profile

2Q 2019 TTM Revenue: \$1.8 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



» 99% recurring revenue
» ~ 96% retention rate¹

» 78% recurring revenue

» Combination of one-off contracts and semi-recurring revenue

Full Year 2019 Guidance as of July 31, 2019

Global

- increase in the low-double-digit % range

U.S.

- increase in the mid-teens % range

Non-U.S.

- increase in the high-single-digit % range

Adjusted Operating Margin

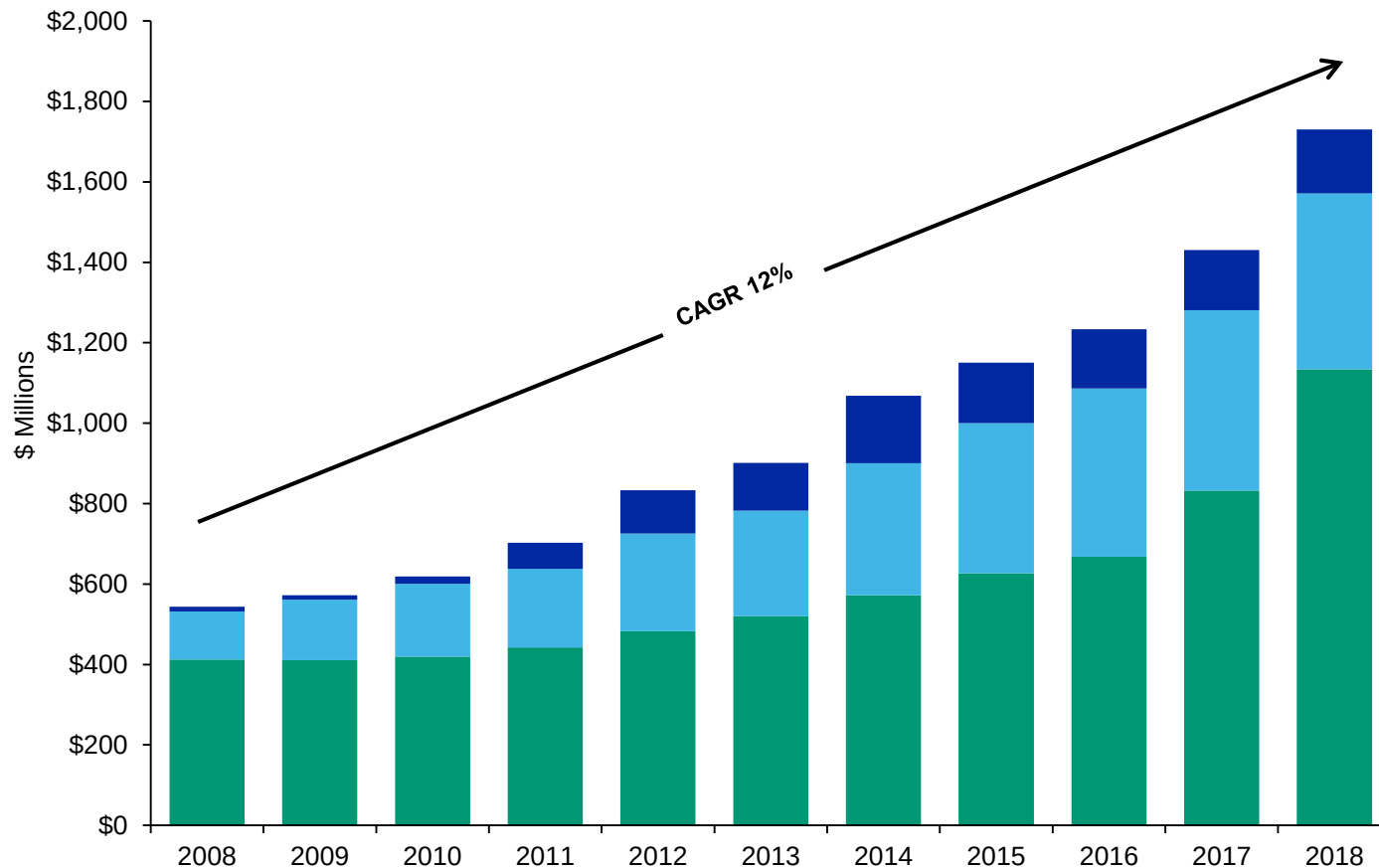
- 28% - 29%

1. Excludes Bureau van Dijk.

Note: The revenue reclassification of the FACT product from RD&A to ERS is reflected in the trailing twelve month (TTM) calculations.

Moody's Analytics has Several Platforms for Growth

Revenue More Than Tripled Since Inception



Moody's Analytics

2018 Revenue: \$1,730m
2008 – 2018 CAGR: +12%
(~55% organic)

Professional Services

2018 Revenue: \$159m
2008 – 2018 CAGR: +30%
(~18% organic)

Enterprise Risk Solutions

2018 Revenue: \$437m
2008 – 2018 CAGR: +14%
(~66% organic)

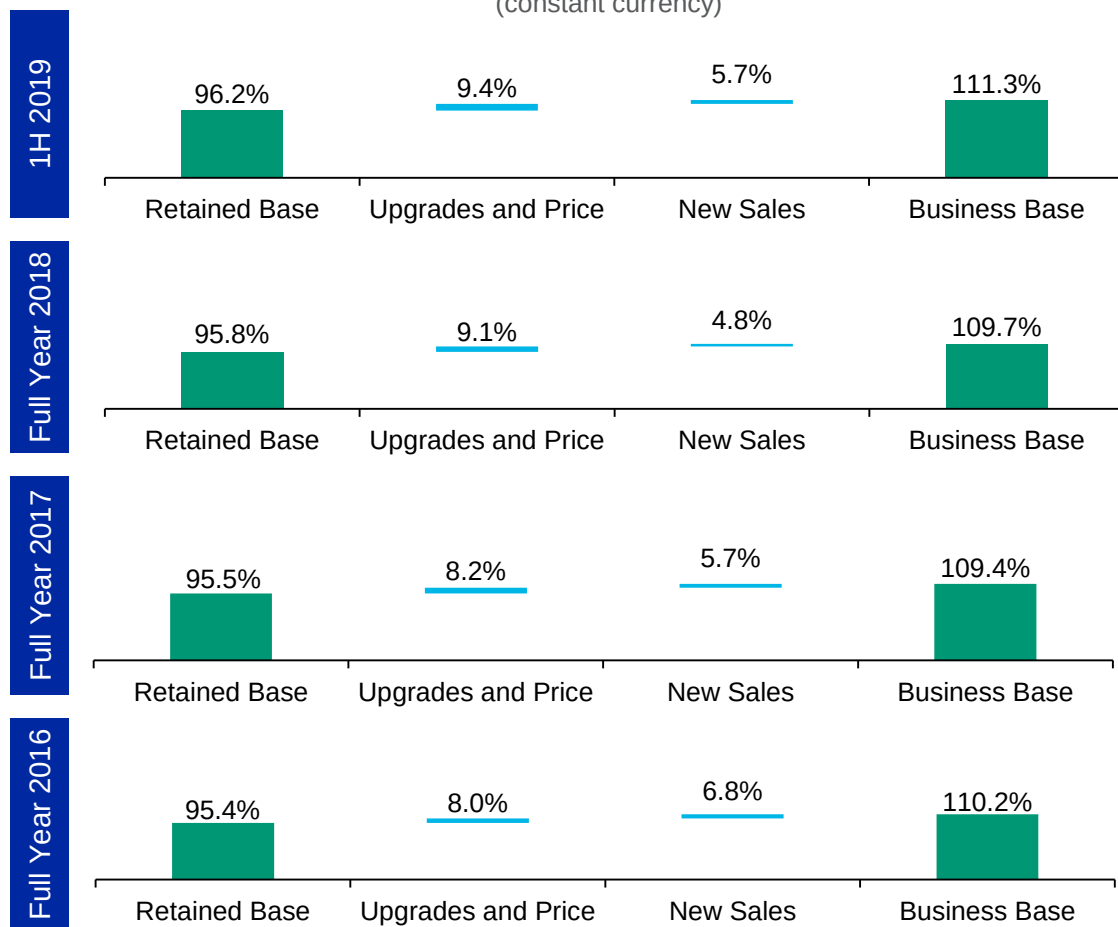
Research, Data & Analytics

2018 Revenue: \$1,134m
2008 – 2018 CAGR: +11%
(~57% organic)

Note: Individual line of business revenues may not add up to total Moody's Analytics revenue due to rounding.

RD&A: Subscription Growth Driven by Retention, Upgrades and Pricing & New Sales

Subscription Sales Growth
(constant currency)



Expansion of ratings coverage



Production of insightful credit analysis



New customers in geographies with developing debt capital markets



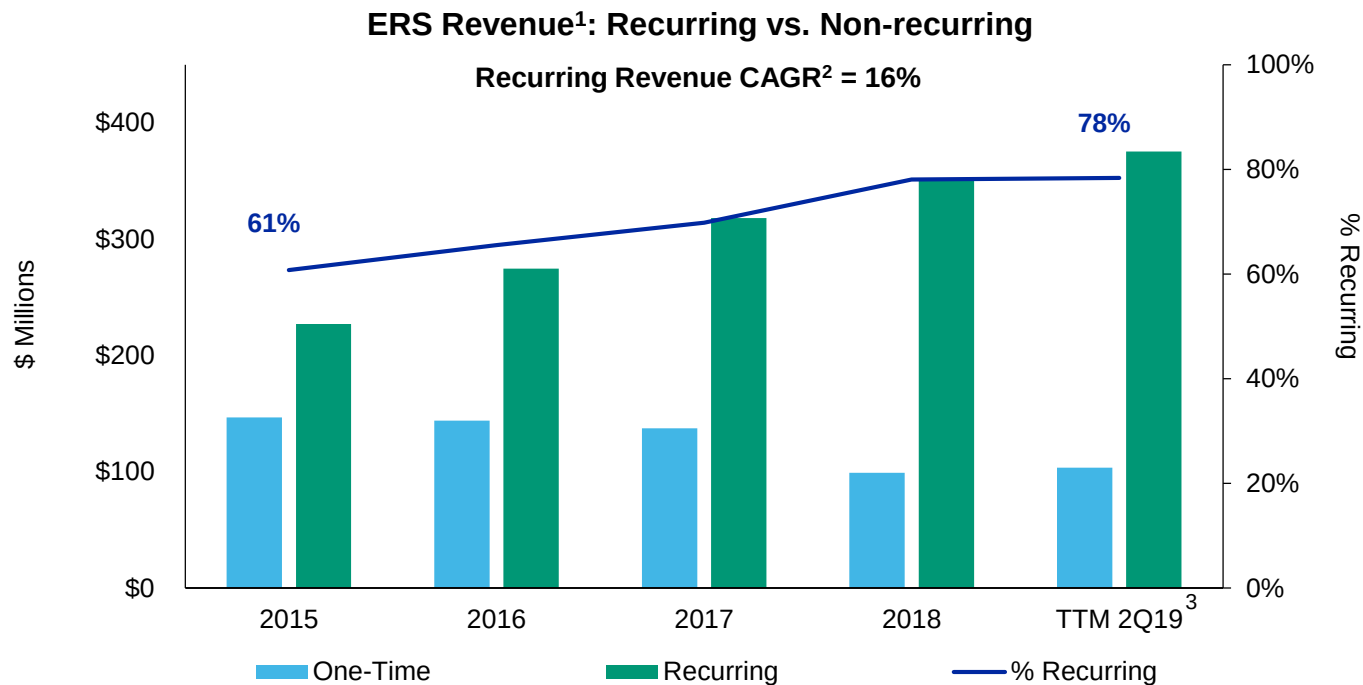
Expansion of data sets and delivery options



Strong customer retention

Note: The sales growth attributions presented on this slide are related to RD&A subscription sales on a constant currency basis and excludes Bureau van Dijk and Reis. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers.

ERS: Driving Growth via Recurring Revenue



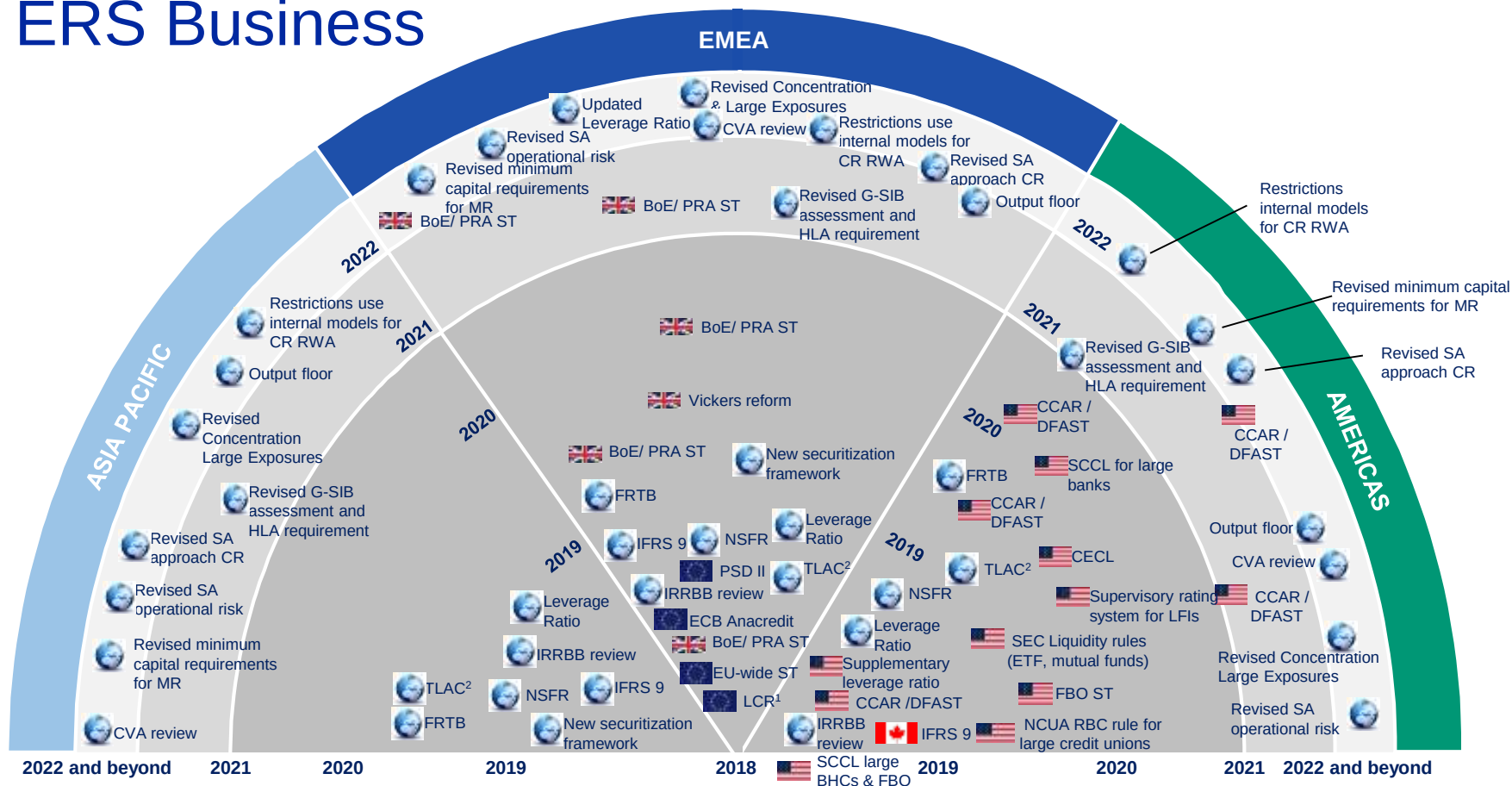
- » ERS recurring revenue has grown by approximately \$150 million since 2015
- » Emphasis on subscription products supports scalability, drives operating leverage and margin
- » Ease of use and lower cost of ownership shifting customer demand to SaaS
- » Next gen products enhance customer experience, improve adoption rates and shorten sales cycles
- » TTM³ sales as of 2Q19: Subscriptions (recurring) +11%; One-time (non-recurring) -2%

1. Recurring revenue includes maintenance and subscription.

2. Compound Annual Growth Rate, 2015-2018.

3. Trailing twelve months ended June 30, 2019.

Global Regulatory and Accounting Drivers for the ERS Business



Source: Moody's Analytics market research as of January 2019.

Note: MiFID II, MiFIR and GDPR regulations are relevant to the banking sector but do not impact on Moody's Analytics products and so have not been included on the radar.

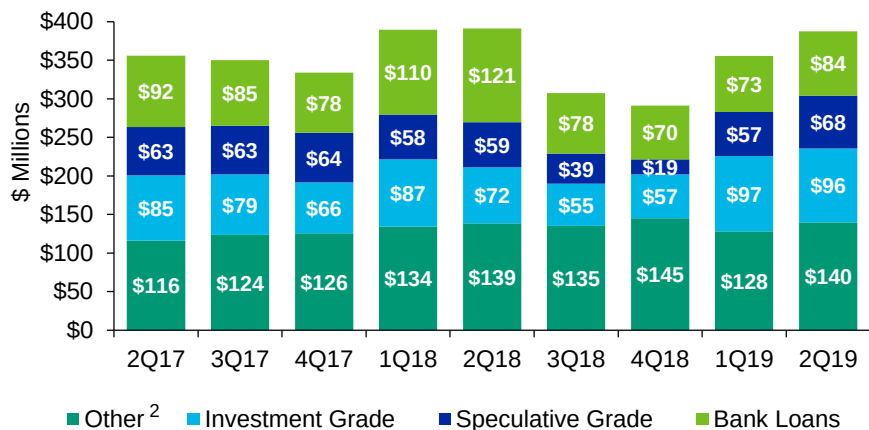
1. The implementation of the LCR in the EU was: 60% in 2015, 70% in 2016, 80% in 2017 and 100% in 2018. In the US, advanced-approach banks had to meet 80% of the LCR by January 1, 2015 and 100% of the ratio by January 1, 2017.
2. The G-SIB surcharge will expand the conservation buffer, subject to a 3 year phase in period. G-SIBs will be required to hold a minimum Total Loss-Absorbing Capacity" (TLAC) of at least 16% from 2019 and 18% by 2022.

6

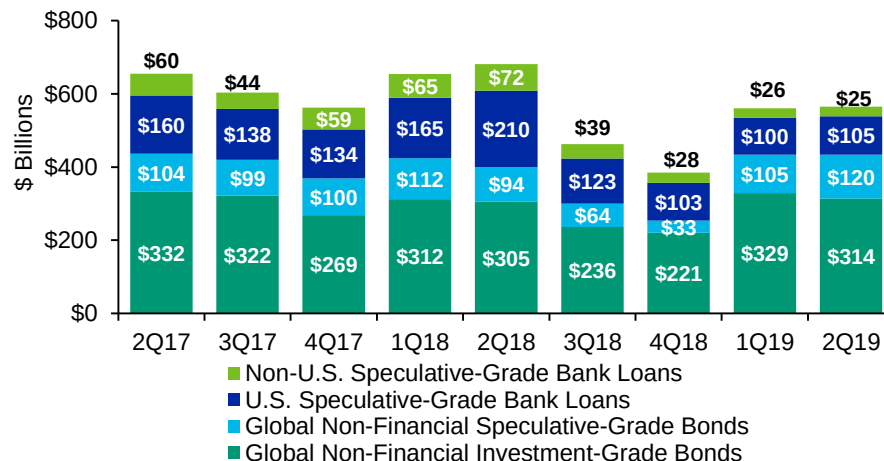
Appendix

Corporate Finance: Revenue and Issuance

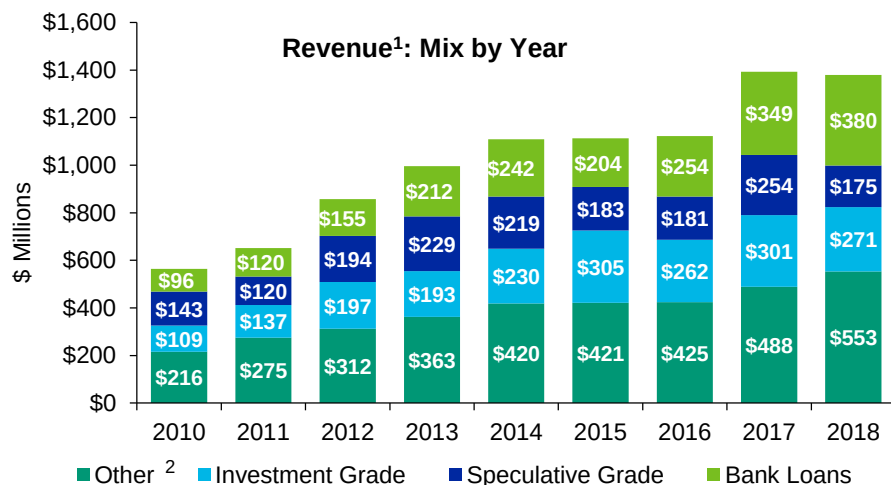
Revenue¹: Mix by Quarter



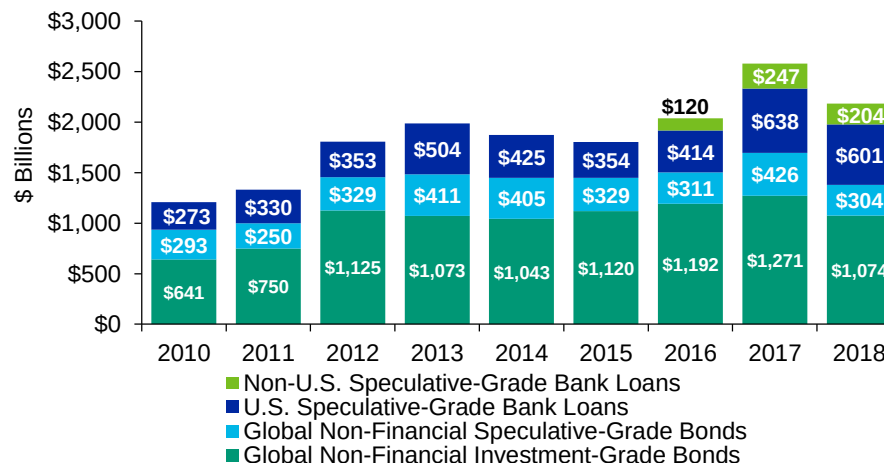
Issuance³: Mix by Quarter



Revenue¹: Mix by Year



Issuance³: Mix by Year



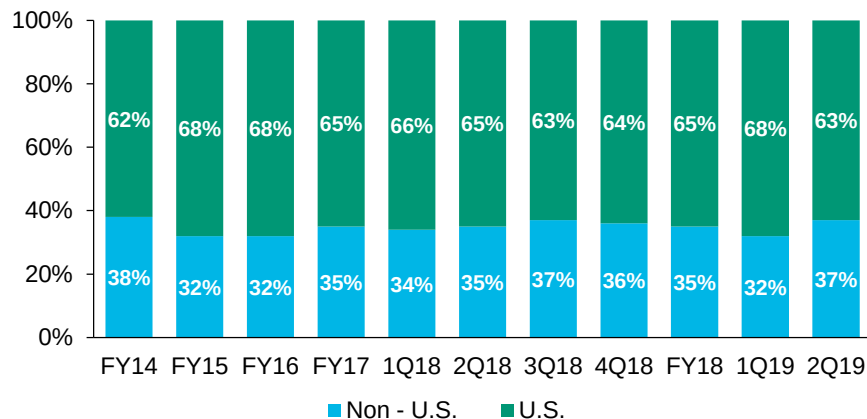
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. The revenue reclassification of REITs to Corporate Finance from Structured Finance is reflected starting from 1Q 2018.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

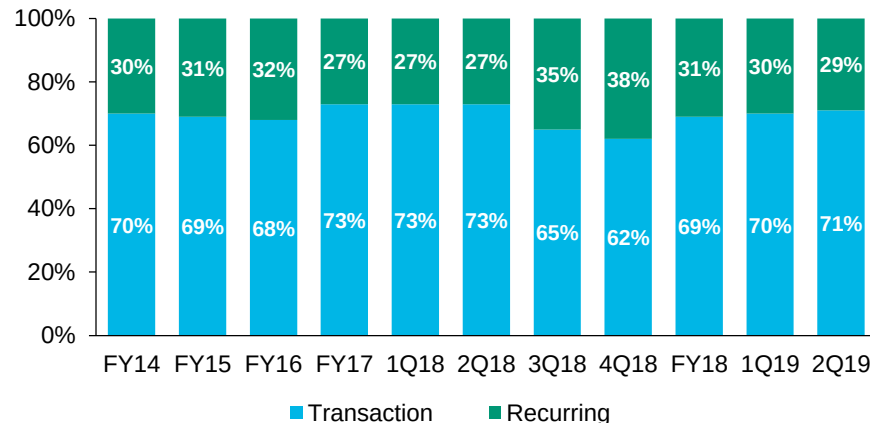
3. Sources: Moody's Analytics, Dealogic. U.S. and Non-U.S. Speculative-Grade Bank Loans represent only Moody's rated speculative-grade bank loans. Non-U.S. Speculative-Grade Bank Loan Origination data available starting 2016. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification

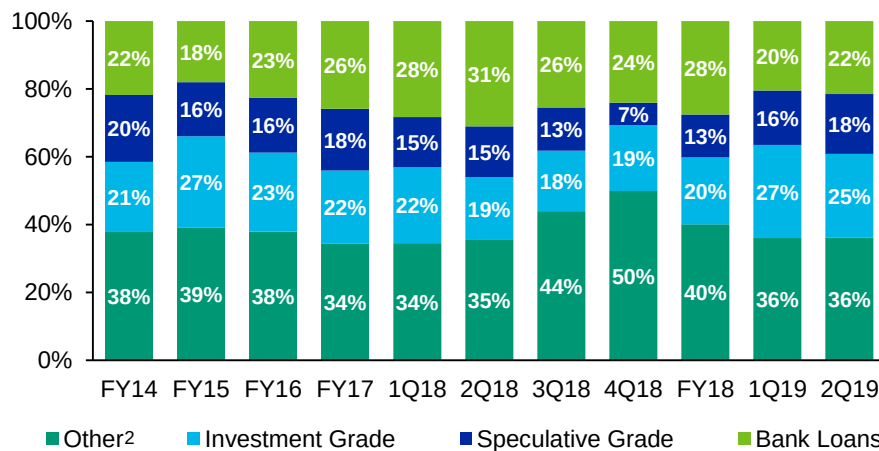
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



Revenue¹: Distribution by Product



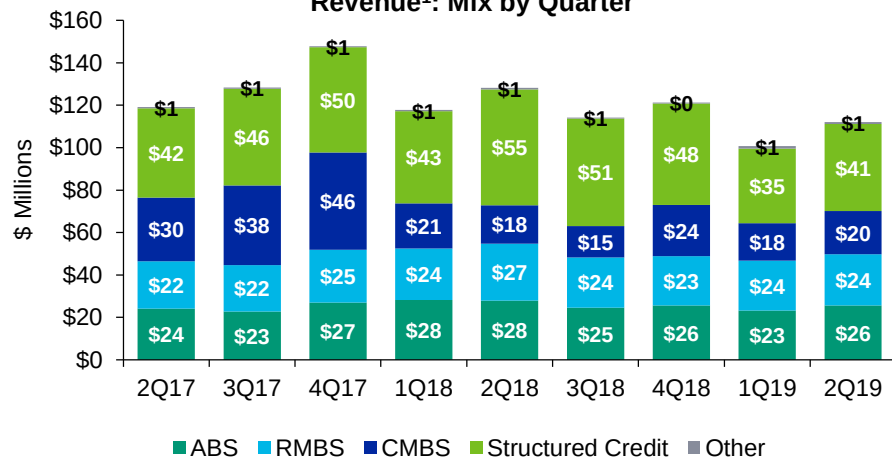
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. The revenue reclassification of REITs to Corporate Finance from Structured Finance is reflected starting from 1Q 2018.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

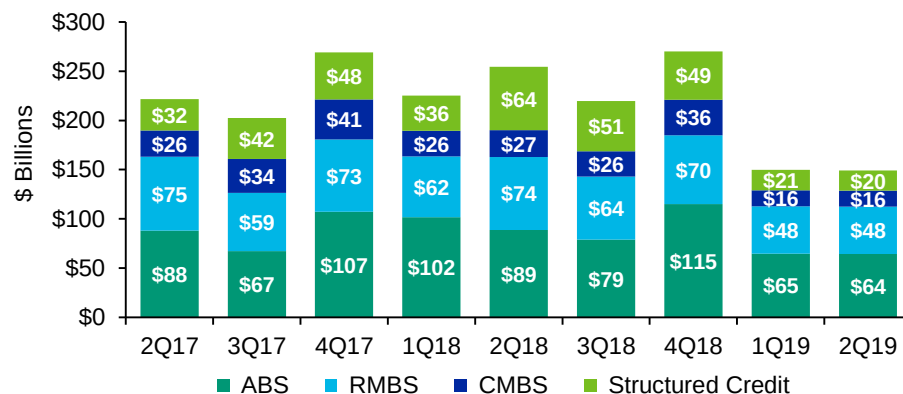
Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance

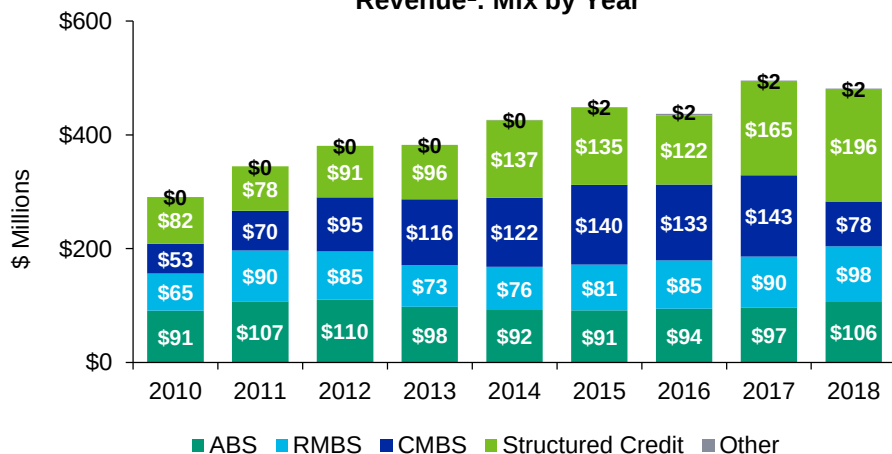
Revenue¹: Mix by Quarter



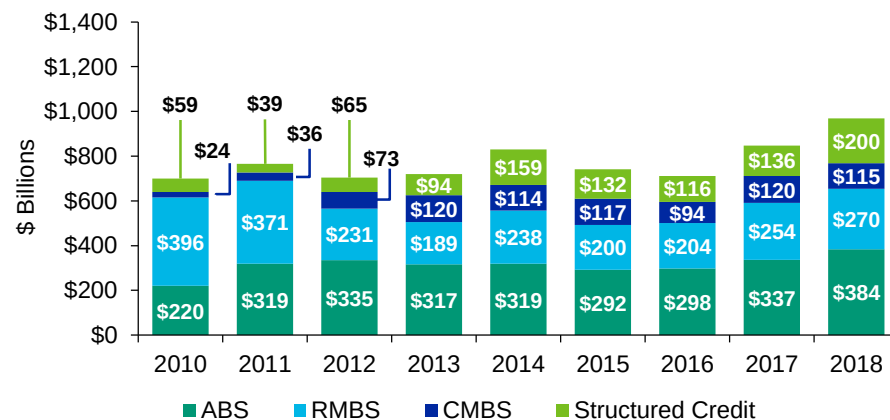
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



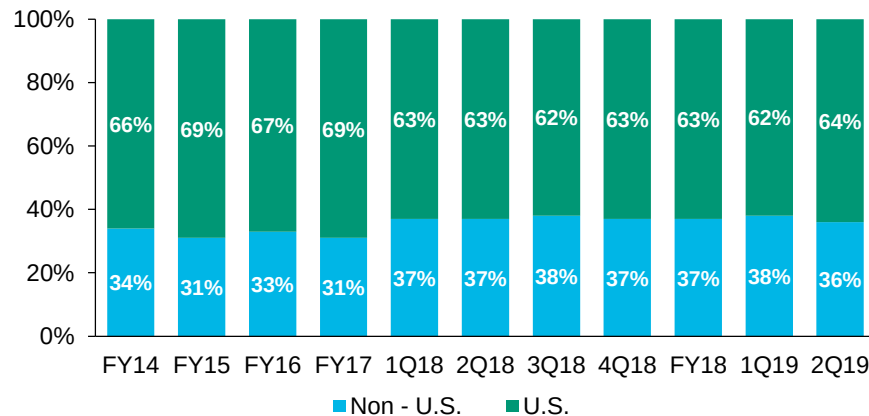
Issuance²: Mix by Year



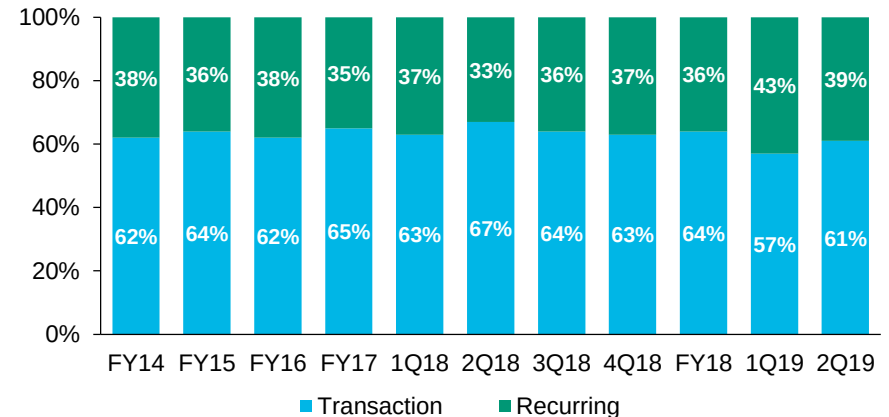
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. The revenue reclassification of REITs to Corporate Finance from Structured Finance is reflected starting from 1Q 2018.
 2. Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.
- Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CMBS includes commercial mortgage-backed securities and commercial real estate CDOs. Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification

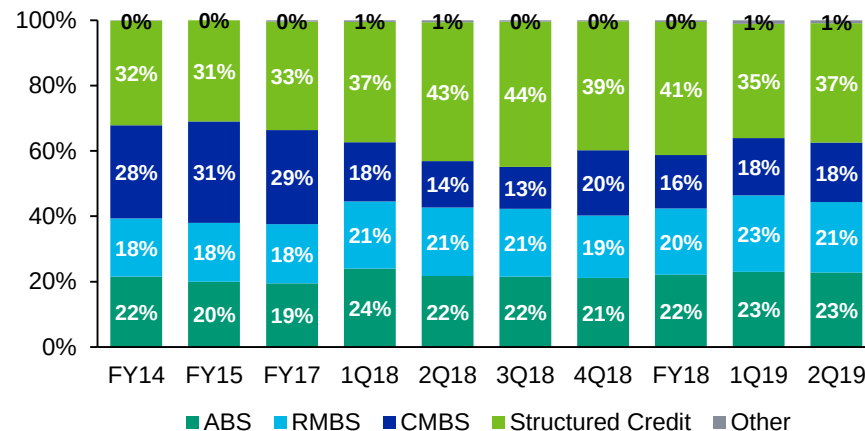
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



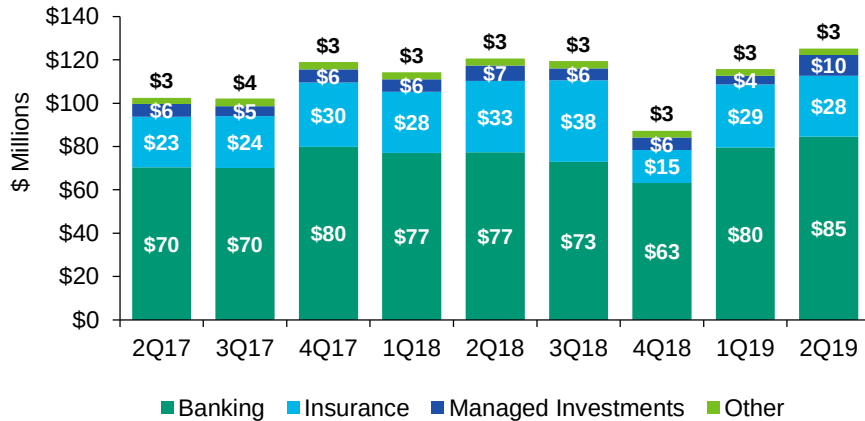
Revenue¹: Distribution by Product



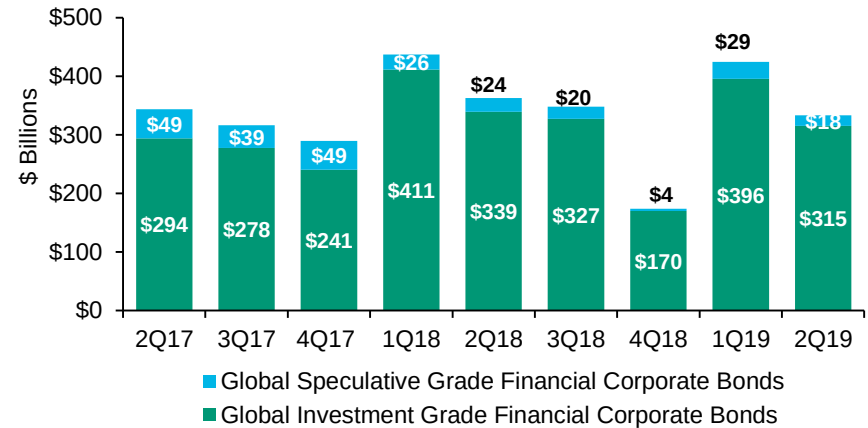
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Financial Institutions: Revenue and Issuance

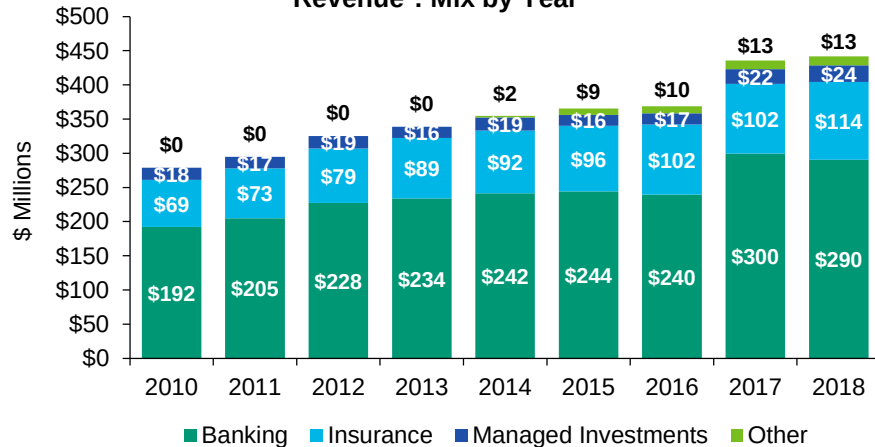
Revenue¹: Mix by Quarter



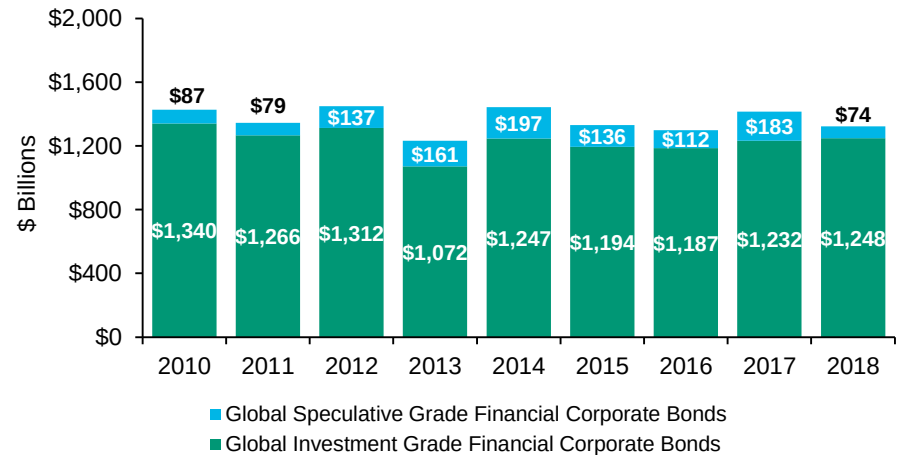
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



Issuance²: Mix by Year

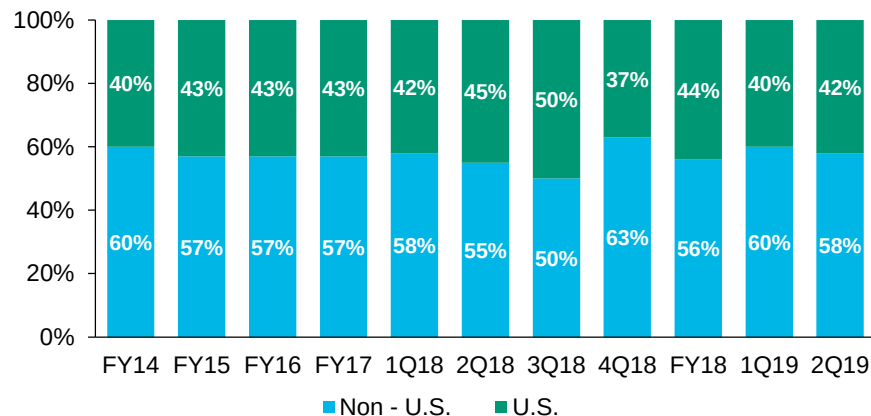


1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

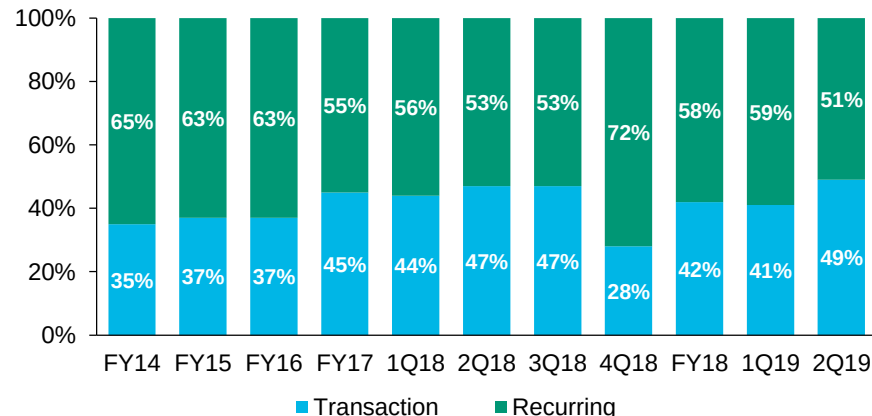
2. Sources: Moody's Analytics, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

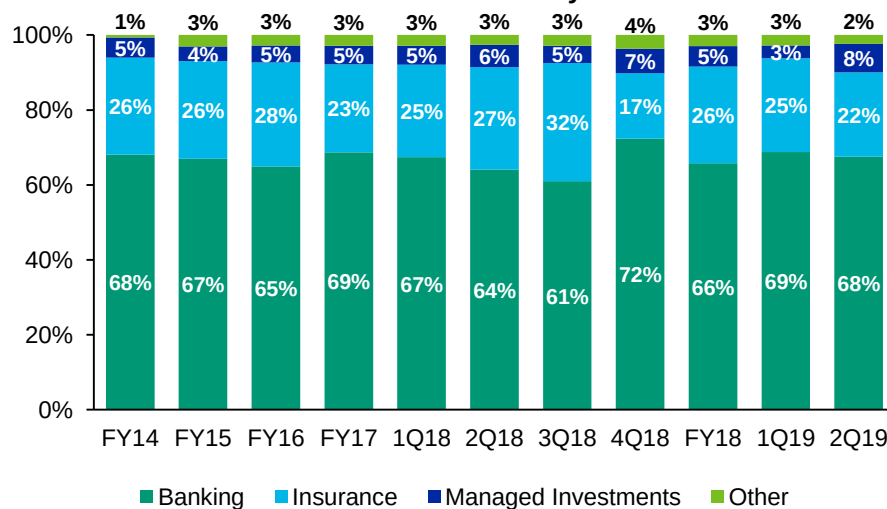
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



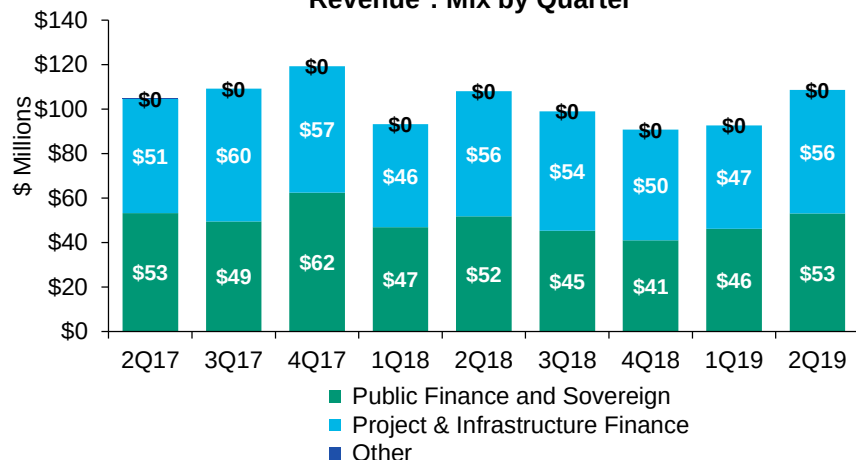
Revenue¹: Distribution by Product



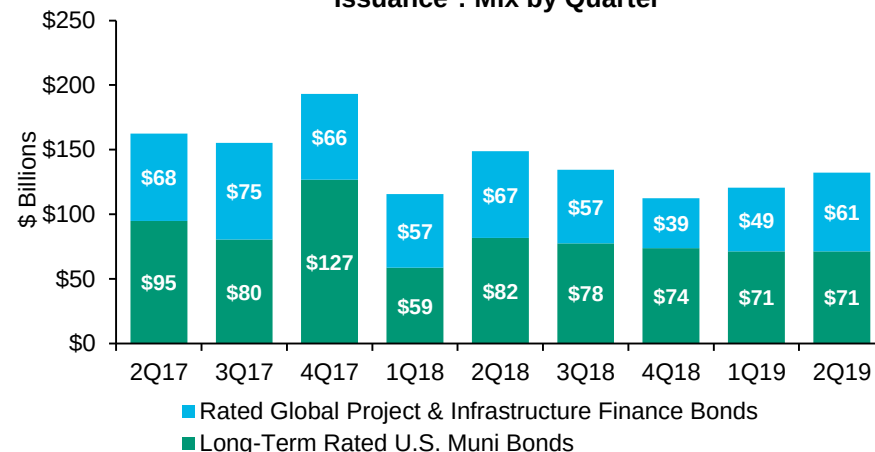
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance

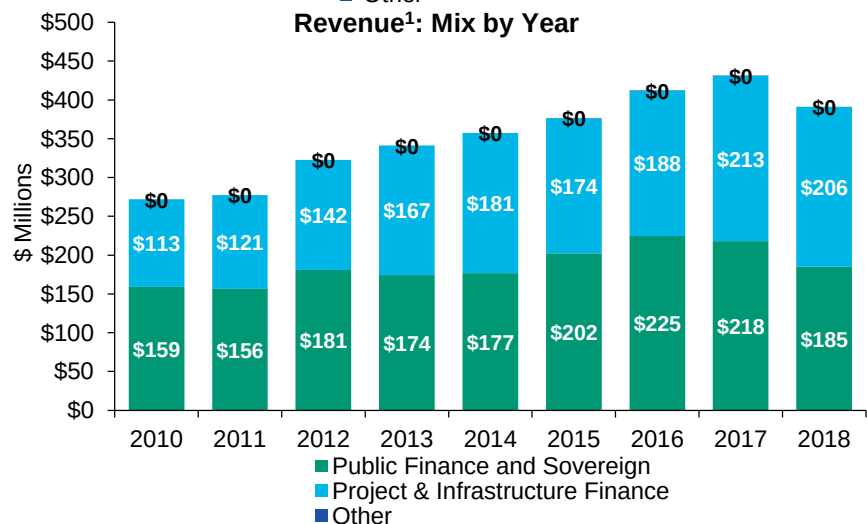
Revenue¹: Mix by Quarter



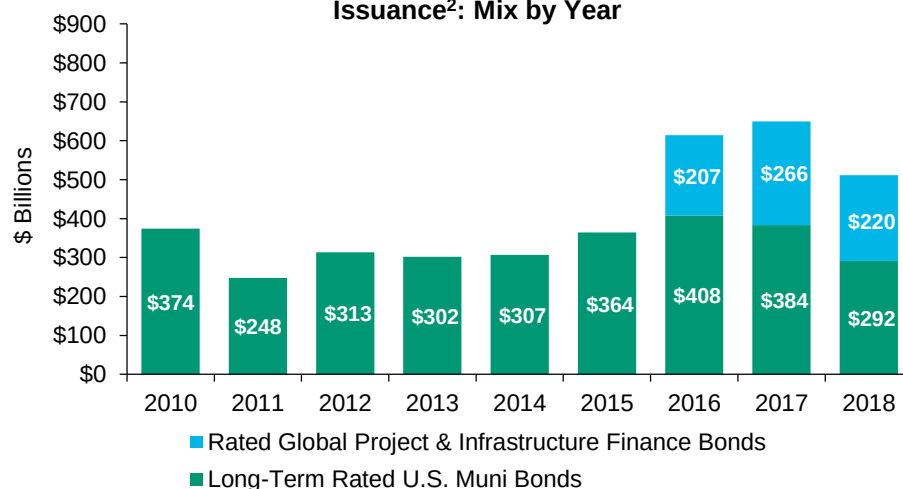
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



Issuance²: Mix by Year



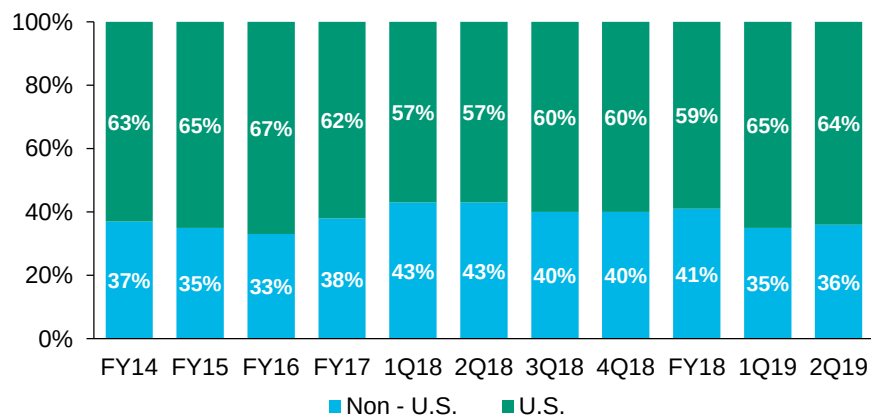
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Global Rated Project & Infrastructure Finance available starting in 2016 and represents Moody's rated issuance.

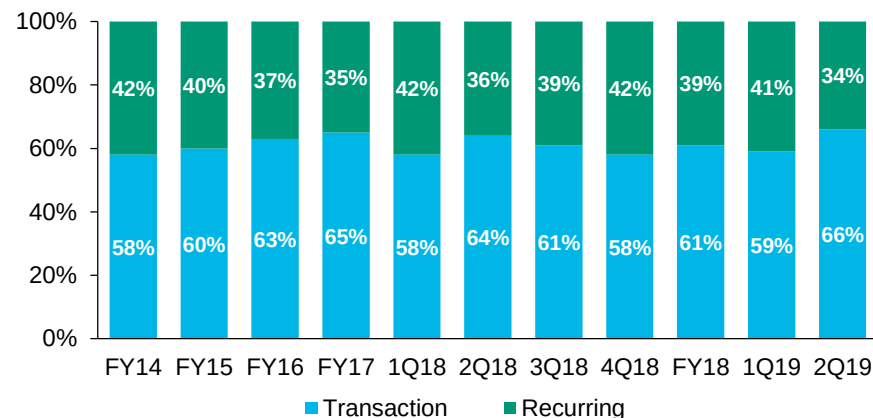
Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

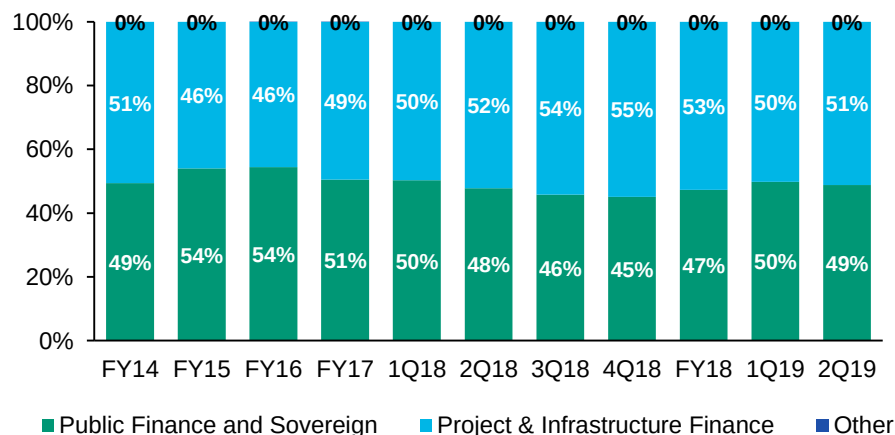
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction

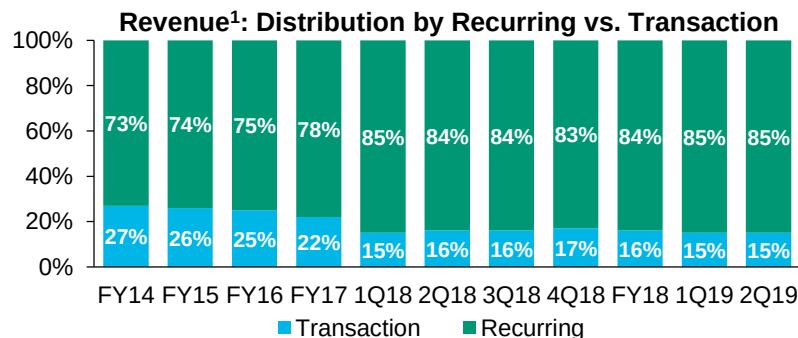
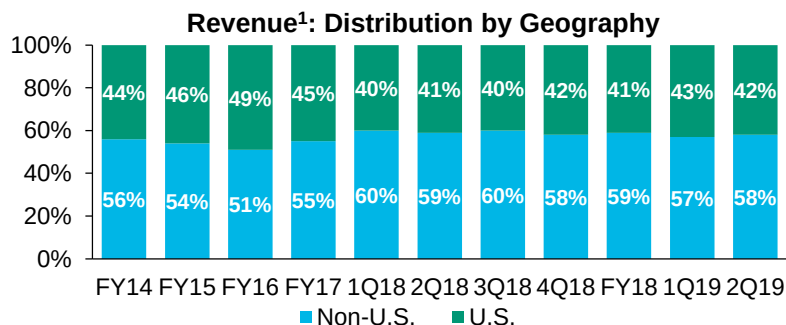
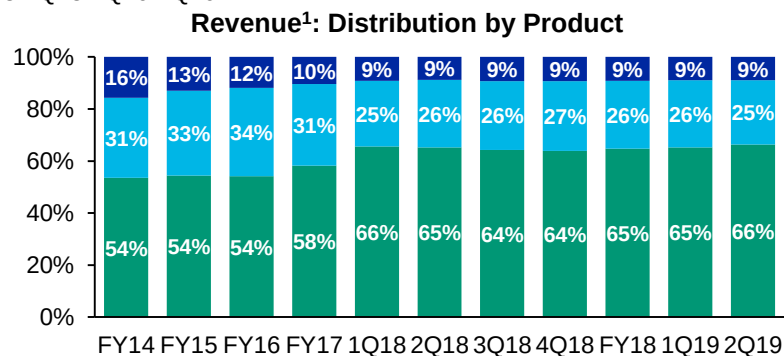
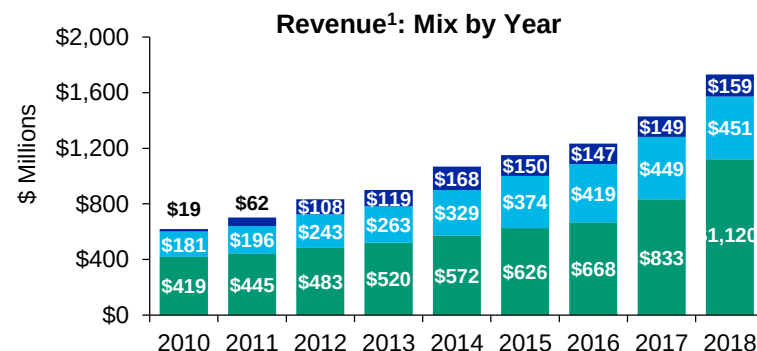
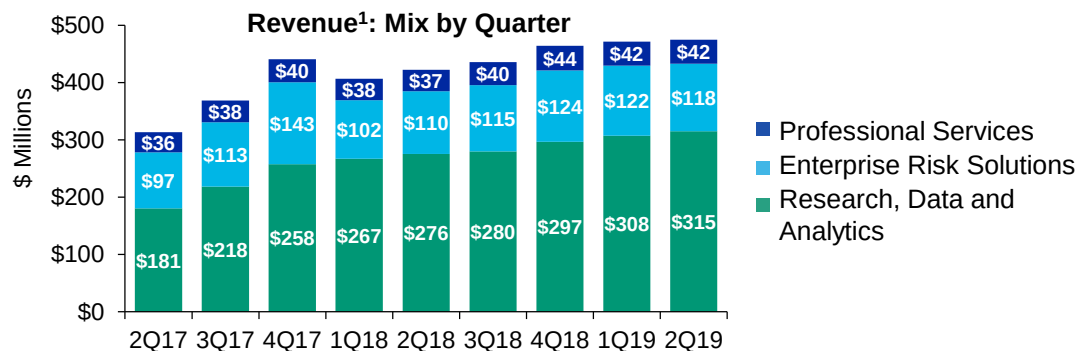


Revenue¹: Distribution by Product



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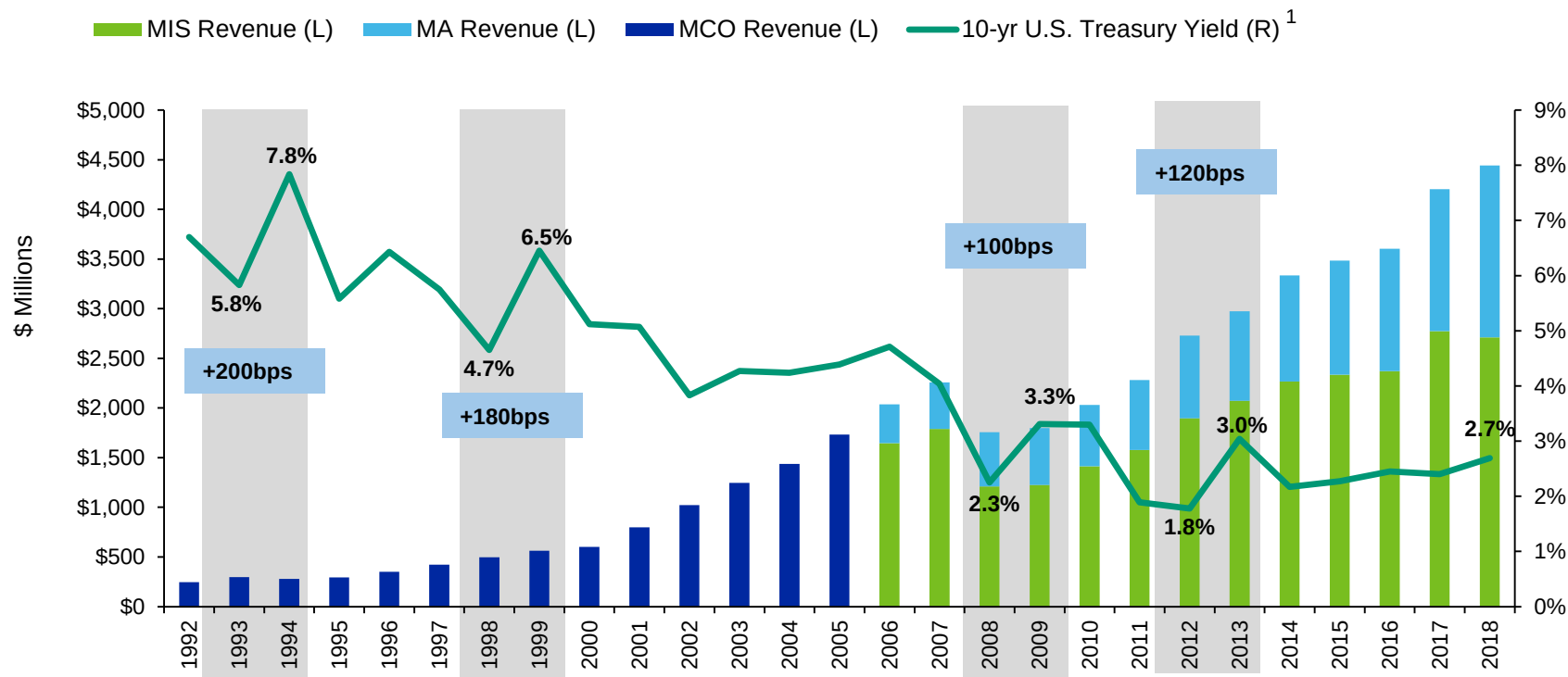
Moody's Analytics: Financial Overview



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Research, Data and Analytics includes Bureau van Dijk revenue beginning from the acquisition close date, August 10, 2017. The revenue reclassification of the FACT product from RD&A to ERS is reflected starting from 1Q 2018. Percentages have been rounded and may not total to 100%.

Historically, Moody's Revenue and Interest Rates Have Not Been Strongly Correlated

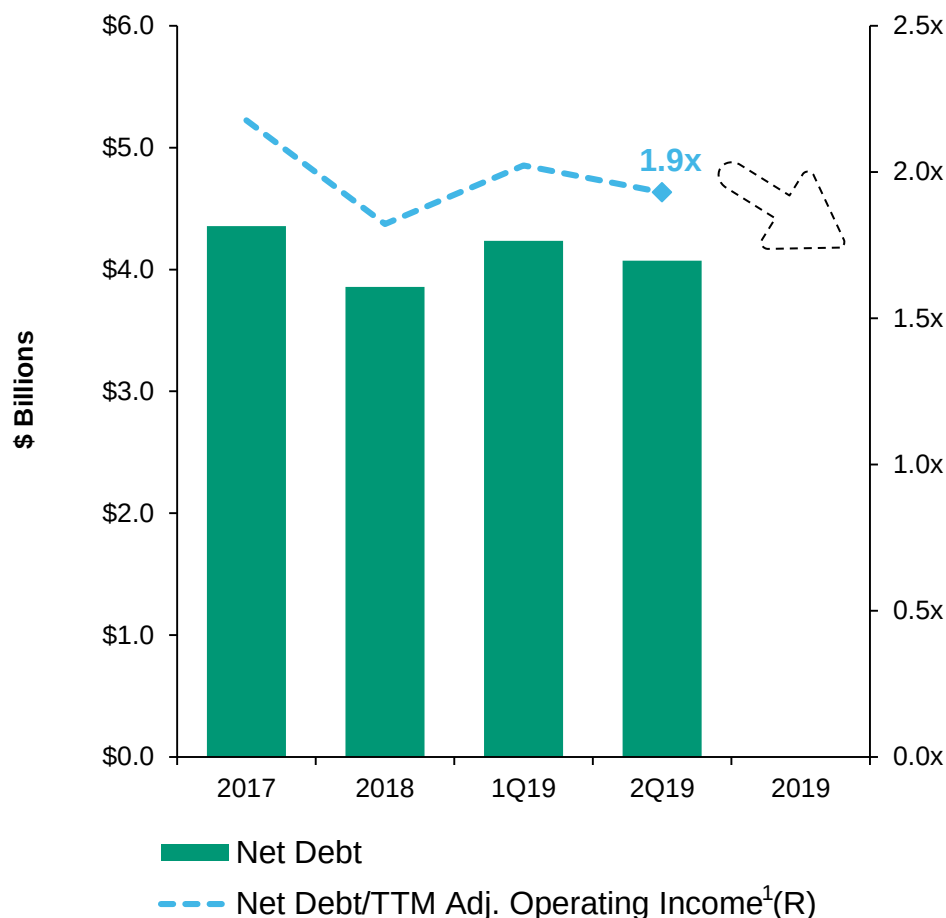
MCO Revenue and Interest Rates



1. 10-yr U.S. Treasury Yields are represented by the rate at the end-of-period.

Source: www.treasury.gov.

Capital Management



(\$ Billions)	TTM 2Q19 ²
Adjusted Operating Income ³	\$2.1
Interest Expense	\$0.2
Capital Expenditures	\$0.1
Free Cash Flow ³	\$1.3
Debt	\$5.4
Cash, Cash Equivalents & ST Investments	\$1.3
Net Debt	\$4.1
Net Debt/Adjusted Operating Income ¹	1.9x

- » Committed to leverage anchored around a BBB+ rating
- » Strong track record of de-leveraging through cash flow within nine months of Bureau van Dijk acquisition
- » Well-laddered maturities; no significant debt maturities until September 2020
- » Leverage expected to decline over the remainder of 2019⁴

1. Trailing twelve months adjusted operating income. Amounts are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP and gross debt to net debt.

2. TTM only applies to income and cash flow statement items.

3. Amounts are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP and gross debt to net debt.

4. Subject to market conditions and other ongoing capital allocation decisions.

Technology: Innovating with Purpose

Next Gen Tech is a Defining Element of our Culture, Setting Stage for Growth



Enhance Data & Analytics

- » Incorporating **alternative data** sources to augment SME credit scoring accuracy
- » *QuantCube* pilot program to synthesize **unstructured data** to enhance financial analysis
- » *CompStak's* use of **crowd-sourced data** on CRE leases and sales



Improve Decisions

- » **NLP** based early warning and monitoring tools for MIS analysts and MA customers
- » **AI** tailored credit training for MA customers – *Credit Coach*
- » Faster loan approvals with **AI** powered lending decisions – *CreditLens*



Deliver Efficiencies

- » **ML and deep learning** tools to automate financial data spreading at both MA and MIS
- » **AI and NLP** used to generate credit reports on 6,000 municipal issuers
- » **RPA** of manual, repeatable tasks within MIS

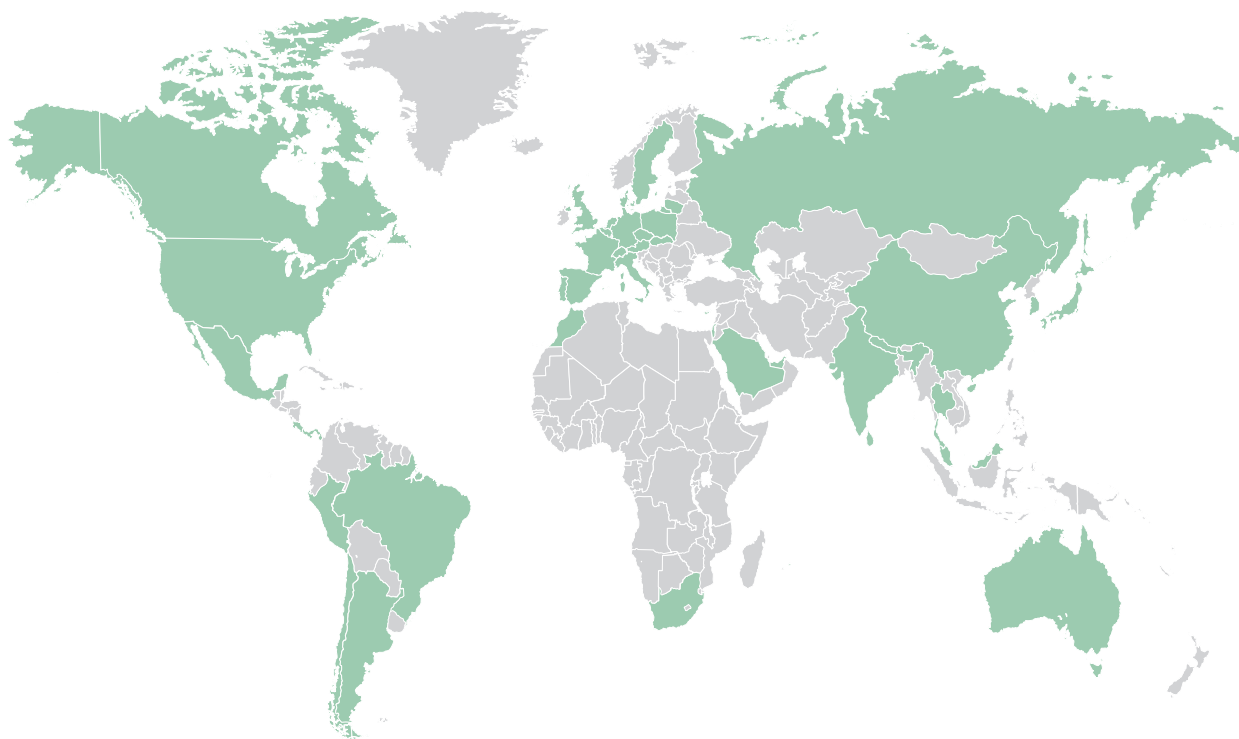


Increase Adaptability

- » **SaaS** accelerating product development and improving customer experience
- » Leveraging **PaaS** to experiment with application of tools and techniques -- **blockchain** and **big data**
- » Moody's IT moving to **IaaS** to expand capabilities and lower costs

Note: AI: Artificial Intelligence; ML: Machine learning; NLP: Natural language processing; RPA: Robotic process automation; IaaS: Infrastructure-as-a-service; SaaS: Software-as-a-service; PaaS: Platform-as-a-service.

Moody's Global Presence



Americas

Argentina	Mexico
Brazil	Panama
Canada	Peru
Chile	United States
Costa Rica	

Europe, Middle East & Africa

Austria	Poland
Belgium	Portugal
Cyprus	Russia
Czech Republic	Saudi Arabia
Denmark	Slovak Republic
France	South Africa
Germany	Spain
Israel	Sri Lanka
Italy	Sweden
Lithuania	Switzerland
Mauritius	United Arab Emirates
Morocco	United Kingdom
Netherlands	

Asia-Pacific

Australia	Malaysia
China	Nepal
Hong Kong	Singapore
India	South Korea
Japan	Thailand

2019	3,903 U.S. employees	+	9,319 non-U.S. employees	=	13,222 total employees ¹
2018	3,594 U.S. employees	+	8,682 non-U.S. employees	=	12,276 total employees ²

1. As of June 30, 2019. Includes ~2,800 MAKs employees.

2. As of June 30, 2018.

Reconciliation of Adjusted Financial Measures to GAAP

Adjusted Operating Income and Adjusted Operating Margin Reconciliation¹

(in \$ millions)	2014	2015	2016	2017	2018	TTM 2Q19
Operating Income	\$1,449.8	\$1,490.7	\$650.9	\$1,820.8	\$1,868.2	\$1,788.6
Operating Margin	43.5%	42.8%	18.1%	43.3%	42.1%	39.8%
Add Adjustment:						
Depreciation & Amortization	95.6	113.5	126.7	158.3	191.9	195.7
Acquisition-Related Expenses	-	-	-	22.5	8.3	8.9
Restructuring	-	-	12.0	-	48.7	108.0
Settlement Charge	-	-	863.8	-	-	-
Impairment pursuant to the planned divestiture of MAKs	-	-	-	-	-	8.7
Adjusted Operating Income	\$1,545.4	\$1,604.2	\$1,653.4	\$2,001.6	\$2,117.1	\$2,109.9
Adjusted Operating Margin	46.3%	46.0%	45.9%	47.6%	47.7%	46.9%

Moody's Corporation Net Debt Reconciliation

(in \$ millions)	2014	2015	2016	2017	2018	2Q19
Gross debt	\$2,532.1	\$3,380.6	\$3,363.0	\$5,540.5	\$5,676.0	\$5,387.9
Less: Cash, cash equivalents and short-term investments	1,677.6	2,232.2	2,224.9	1,183.3	1,817.5	1,315.4
Net debt	\$854.5	\$1,148.4	\$1,138.1	\$4,357.2	\$3,858.5	\$4,072.5

1. 2014 - 2017 operating and adjusted operating income have been restated to conform to the new presentation of pension accounting.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Operating Margin Guidance Reconciliation

	2019F ¹
Projected Operating Margin - GAAP	Approximately 42%
Projected impact from Depreciation & Amortization	Approximately 4.5%
Restructuring	Approximately 1.5%
Impairment pursuant to the planned divestiture of MAKs	Negligible
Projected impact from Acquisition-Related Expenses	Negligible
Projected Adjusted Operating Margin	<u>Approximately 48%</u>

Free Cash Flow Reconciliation²

(in \$ millions)	2014	2015	2016	2017	2018	2019F ¹
Net cash flows from operating activities	\$1,077.3	\$1,198.1	\$1,259.2	\$754.6	\$1,461.1	\$1,700.0 - \$1,800.0
Less: Capital expenditures	74.6	89.0	115.2	90.6	90.4	~100.0
Free Cash Flow	\$1,002.7	\$1,109.1	\$1,144.0	\$664.0	\$1,370.7	\$1,600.0 to \$1,700.0

1. Guidance as of July 31, 2019.

2. In 2017, the Company adopted ASU 2016-09 "Improvements to Employee Share-Based Payment Accounting" on a retrospective basis. In Q1 2018, the Company adopted ASU No. 2016-15, "Statement of Cash Flows (Topic 230): Classification of Certain Cash Receipts and Cash Payments (a Consensus of the Emerging Issues Task Force)" on a retrospective basis.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Diluted EPS Reconciliation

	2014	2015	2016	2017	2018	2019F ¹
Diluted EPS - GAAP	\$4.61	\$4.63	\$1.36	\$5.15	\$6.74	\$7.15 - \$7.35
Legacy Tax	(0.03)	(0.03)	-	-	-	-
Impact of Litigation Settlement	-	-	\$3.59	-	-	-
ICRA Gain	(0.37)	-	-	-	-	-
FX Gain due to Subsidiary Liquidation	-	-	(\$0.18)	-	-	-
Restructuring	-	-	\$0.04	-	\$0.19	~\$0.23
CCXI Gain	-	-	-	(\$0.31)	-	-
Acquisition-Related Expenses	-	-	-	\$0.10	\$0.03	~\$0.02
Purchase Price Hedge Gain	-	-	-	(\$0.37)	-	-
Acquisition-Related Intangible Amortization Expenses	\$0.10	\$0.11	\$0.13	\$0.23	\$0.40	~\$0.42
Impact of U.S. tax reform	-	-	-	\$1.28	(\$0.30)	-
Net Impact of U.S./European tax change on deferred taxes	-	-	-	(\$0.01)	-	-
Increase to non-U.S. UTPs	-	-	-	-	\$0.33	-
Tax charge associated with planned divestiture of MAKs	-	-	-	-	-	~\$0.08
Impairment pursuant to the planned divestiture of MAKs	-	-	-	-	-	~\$0.05
Adjusted Diluted EPS	\$4.31	\$4.71	\$4.94	\$6.07	\$7.39	\$7.95 - \$8.15

1. Guidance as of July 31, 2019.

Note: Table may not sum to total due to rounding.

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